

Introduction to the imputation regime [¶17-010]

[¶17-010]

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The objective of the imputation system is to eliminate double taxation on company profits. Before the introduction of the imputation system, companies would be required to pay tax on their profits, and then shareholders would be required to pay tax on those profits when they were distributed. Under the imputation system, a company effectively attaches income tax credits (known as “imputation credits”) to cash and non-cash dividends and taxable bonus issues distributed to shareholders. The shareholders then use those imputation credits to reduce their own tax liability in respect of the company’s dividends. The shareholder includes both the dividends and the imputation credits as assessable income, with a credit being allowed against the shareholder’s income tax liability for an amount equal to the attached imputation credits.

An individual on a marginal tax rate that is less than the company tax rate receives surplus imputation credits to offset against their income tax liability for the year. Any individual’s unused surplus imputation credits may be carried forward as a credit of tax to the next income year. The amount carried forward is reduced firstly by any amount extinguished when outstanding tax is written off ([¶12-119](#)), and secondly by any tax liability for the next income year. For certain other types of taxpayers (eg companies, trustees and Māori authorities) surplus credits may be carried forward as a tax loss and offset against net income of succeeding income years. (ss [LE 2](#), [LE 3](#), and [¶12-110](#)). An individual taxpayer on a marginal tax rate that is higher than the company tax rate will receive insufficient imputation credits to fully cover their tax liability in respect of the dividend and will be liable to pay additional tax.

Example:

Widgets Ltd has taxable income of \$100 for the 20X2–X3 income year, and has resolved to pay from its after tax income a fully imputed dividend to its only shareholder, William:

	\$
Taxable income	100.00
Tax @ 28%	<u>28.00</u>
After tax income	<u>72.00</u>
 Dividend	 72.00
Imputation credits	<u>28.00</u>
Gross dividend paid to shareholder	<u>100.00</u>

William’s final tax liability in respect of the fully imputed dividend paid by Widgets Ltd will be as follows:

(a) Assume William has an effective tax rate of 30%.

	\$
Dividend income	72.00
Imputation credits attached	<u>28.00</u>
Gross dividend income	100.00
Tax @ 30%	30.00
Less: imputation credits	<u>(28.00)</u>
Tax to pay	<u>2.00</u>

(b) Assume William has an effective tax rate of 17.5%.

	\$
Gross dividend income	100.00
Tax @ 17.5%	17.50
Less: imputation credits	<u>(28.00)</u>
Surplus imputation credits to carry forward	<u>10.50</u>
Tax to pay	<u>0.00</u>

(c) Assume William has an effective tax rate of 33%.

	\$
Gross dividend income	100.00
Tax @ 33%	33.00
Less: imputation credits	<u>(28.00)</u>
Tax to pay	<u>5.00</u>

(d) Assume William has an effective tax rate of 39%.

	\$
Gross dividend income	100.00
Tax @ 33%	39.00
Less: imputation credits	<u>(28.00)</u>
Tax to pay	<u>11.00</u>

Every resident company is required to maintain an imputation credit account (ICA) to track their imputation credits on an annual basis. An ICA is a memorandum account only. Tax payments made by a company are credited to its account, and as those tax payments are passed on to shareholders, the account is debited ([¶17-025](#)). Companies are restricted by the allocation rules from attaching too many imputation credits to dividends. The number of imputation credits attached to a dividend must not exceed the maximum imputation ratio ([¶17-060](#)).

For the imputation rules relating to qualifying companies, see [¶19-010](#), [¶19-115](#) and [¶19-120](#).

Law: IT07 subparts [LE](#), [OB](#), ss [IA 2\(4\)\(b\)](#), [LA 5\(4\)](#), [LE 1\(1\)](#), [LE 2](#), [LE 3](#)

Last reviewed on 31 December 2025

Legislation for the imputation regime [¶17-015]

[¶17-015]

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The imputation and related memorandum account provisions are located in Pt [O](#) of the Income Tax Act 2007 (IT07), consisting of the following subparts:

- # Subpart [OB](#) — Imputation Credit Accounts (ICAs) (which deals with income tax paid by a New Zealand company that may be credited to shareholders).
- # Subpart [OF](#) — Available Subscribed Capital Accounts (ASCAs) (which deals with available subscribed capital lost on redemption of units by unit holders in a group investment fund deriving category A income or in a qualifying unit trust) ([¶24-070](#)).
- # Subpart [OK](#) — Māori Authority Credit Accounts (MACAs) (which deals with income tax paid by a Māori authority that may be credited to a member of the authority) ([¶24-314](#)).
- # Subpart [OP](#) — which deals with the various memorandum accounts of consolidated groups ([¶17-250](#) and [¶20-070](#)).

This chapter focuses principally on imputation.

Law: IT07 Pt [O](#)

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Summary of principal features of imputation regime [¶17-020]

[¶17-020]

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The principal features of the imputation system are as follows:

- # New Zealand resident companies must maintain an ICA (¶17-025).
- # The tax year for imputation purposes is always 1 April to 31 March, irrespective of the company's balance date.
- # Credits to the ICA include New Zealand provisional and terminal tax paid and imputation credits on dividends received (¶17-040).
- # Debits to the ICA include imputation credits attached to dividends paid and tax refunds (¶17-045).
- # A New Zealand resident company can allocate tax credits to dividends paid to its shareholders by drawing from the pool of credits in the ICA.
- # The first dividend in the tax year ordinarily sets the benchmark level for credit allocations in that year unless the statutory declaration procedures have been exercised (non-compliance incurs penalties) (¶17-070).
- # A company making a dividend payment is not obliged to allocate a credit (however, should the company do so, 28:72 of the "net" dividend is the maximum ratio that may be allocated) (¶17-060).
- # If an over-allocation of credits leaves the ICA in debit at 31 March for any year, the company must pay to Inland Revenue (IR) the amount of the shortfall plus 10% (¶17-100).
- # Special anti-streaming rules apply to prevent the direction of credits to some shareholders and not others (¶17-120).
- # Any change in shareholding or in shareholders' interests of over 34% could bring about the cancellation of credits in the ICA (¶17-055).
- # All ICA companies must file an annual imputation return, a company dividend statement and a shareholder dividend statement (¶17-080–¶17-090).
- # The imputation regime is linked to the consolidation rules (¶20-070).
- # There is no provision for the grouping of imputation credits by companies in the same group (except where the company is a consolidated group: see ¶20-070) — imputation credits may be transferred by the payment of a dividend (companies included in the same group may pass on imputation credits by the actual payment of an intercorporate dividend and allocate tax credits under the normal rules for imputation).
- # Companies that are commonly owned, but not wholly owned, may transfer imputation credits as part of loss grouping (¶17-107).
- # An individual's tax liability is reduced by any imputation credits (with any excess credits carried forward to the next income year: see ¶2-110).
- # Special rules prevent unit trust managers and trustees and managers of group investment funds that derive category A income from using imputation attached to dividends received upon the redemption of units where the dividend merely reflects the cost to those persons of purchasing the units.
- # Non-residents are subject to non-resident withholding tax (NRWT) only if they hold a less than 10% voting interest in the company or the rate of NRWT applicable to the dividend is 15% or more. The monetary effect of the NRWT liability may be negated under the foreign investor tax credit (FITC) regime (¶26-500).
- # A company has the option of declaring bonus issues (taxable or non-taxable). Taxable bonus issues may convey imputation to shareholders (non-taxable bonus issues, however, are not taxed in the shareholder's hands and therefore do not carry any credits) (¶16-570 and ¶16-685).
- # A producer board, because it does not have a normal company shareholding structure, is treated as a company for tax purposes to enable the board to pass on credits to its members (¶24-150).
- # Primary sector producer and marketing co-operatives which are incorporated as companies may allocate imputation credits to dividends paid (¶24-160).
- # An Australian-resident company may elect to maintain an ICA (¶17-210).
- # Certain companies may form an imputation group (¶17-240–¶17-250).
- # Special rules apply where overpaid tax is applied to other tax liabilities (¶17-040 and ¶17-045).

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Companies required to maintain an ICA [¶17-025]

[¶17-025]

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Under the imputation system a company may allocate or “impute” the tax it pays on its income to its shareholders on the dividends it pays. The gross dividends are included as income of the shareholders, but their individual tax liabilities are satisfied in part by the amount of any tax credit so allocated to the dividends.

An ICA is a memorandum account (outside the books of account and not relating to income or expenditure) which records a company's tax payments and the allocation to shareholders of the benefit of those accounts. Consequently, every New Zealand resident company is required to maintain an ICA because the balance in the ICA determines the amount of credits the company may allocate to its shareholders (ie to its dividend payments) and the ICA keeps a record of the tax credits which are available for allocation to dividend payments.

The New Zealand imputation system was extended to Australian-resident companies from 1 April 2003 ([¶17-200](#)–[¶17-250](#)).

Law: IT07 ss [OA 2\(2\)](#), [\(3\)](#), [OB 1](#)

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Companies not permitted to maintain an ICA [¶17-030]

[¶17-030]

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Certain companies are not permitted to maintain an ICA. These companies are as follows:

- # Before 29 March 2018, a company acting only in the capacity of trustee, as such a company is not within the definition of a “company” in s [YA 1](#). When a company acts as a trustee, the trustee/beneficiary rules apply. However, there is an exception to this in that a company that is a group investment fund deriving category A income must operate an ICA. Companies that act partly in the capacity of trustees and partly in other activities allocate debits and credits to the ICA only in respect of their non-trustee activities.
- # A company whose constitution prohibits anything from being distributed to any shareholder (or member). This would include an incorporated club or society.
- # A company that derives only exempt income. This does not include a company that solely derives dividend income exempt from tax ([¶16-800](#)), in which case it must operate an ICA.
- # A company that is a New Zealand resident and is treated as a non-resident by virtue of a double tax agreement (DTA).
- # A Māori authority is required to maintain a MACA ([¶24-288](#)).
- # A local authority.
- # A Crown Research Institute.
- # A subsidiary company of the Accident Compensation Corporation to which s [334\(1\)](#) of the Accident Insurance Act 1998 or s [266](#) of the Accident Compensation Act 2001 applies.
- # A multi-rate portfolio investment entity (PIE) ([¶29-100](#)).

By virtue of s [OB 1\(1\)](#), non-resident companies are also not able to establish an ICA. When a company is non-resident for all or part of a year, it may not operate an account for the period in which it is a non-resident. When a company ceases to be resident in New Zealand, it must debit its ICA by the amount of the credit balance of the ICA immediately before the date of change of residency (*Tax Information Bulletin* [¶610-107 Vol 6, No 10](#), March 1995 at 7).

A company that is resident in New Zealand and Australia may choose to be an Australian ICA company and elect to maintain an ICA for the purposes of the trans-Tasman imputation system ([¶17-200](#) and [¶17-210](#)).

Law: IT07 s [OB 1\(2\)](#)

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Information to record for imputation purposes [¶17-035]

[¶17-035]

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Imputation is recorded over a tax year from 1 April to 31 March, irrespective of the company's own balance date. Every company must record as its opening balance on 1 April in each year the amount of the closing balance as at the previous 31 March.

An ICA balance at any time is the difference between the aggregate credits and debits to the account at that time (s [OA 3](#)).

The amount is a credit arising in the ICA when the closing balance is the excess of credits over debits and a debit when the closing balance is the excess of debits over credits. If the credits allocated to shareholders during the year exceed the credits to the company's ICA when it is balanced on 31 March, further income and penalty taxes are payable (s [OA 3\(3\)](#), [\(4\)](#)).

For the tax year when the company first becomes an ICA company, the treatment of existing credits and debits is set out in s [OA 7](#).

Records relating to credit and debit entries in the ICA during a tax year must be retained for 7 years after the end of the tax year (s [22](#) of the Tax Administration Act 1994 (TAA)).

Law: IT07 ss [OA 3](#), [OA 7](#); TAA s [22\(2\)\(k\)](#)

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Credits to record in ICA [¶17-040]

[¶17-040]

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An ICA company has an imputation credit for an amount of income tax or provisional tax paid. Credits that arise are set out in [Table O1](#) and must be read in conjunction with the relevant section when identifying ICA credits. Only one credit entry is allowed for each tax payment type made (s [OB 4\(5\)](#)).

These credits increase the amount available for allocation to dividends paid to shareholders, while credits allocated to those dividends are debited to the ICA.

For ease of reference the transactions that give rise to imputation credits in an ICA are discussed below and numbered in accordance with the numbering used in [Table O1](#) of the IT07.

Timing of credits

The timing of when the credit arises is set out in [Table O1](#): imputation credits (see below) and in each relevant section. Generally an imputation credit arises on the day the amount of tax is paid, transferred or withheld.

Note: [Table O1](#) is located immediately after s [OB 84](#).

Table O1: imputation credits

Row	Imputation credit	Credit date	Further defined
1	<i>[Repealed]</i>		
2	Provisional tax and income tax paid.	day of payment	s OB 4(4)(a)
2B	Transfer to an ICA within a taxpayer's accounts, or from another ICA company: <i>transfer of a GST refund, withholding tax, R&D tax credit or transfer of paid provisional tax</i>	day of request for transfer	s OB4(4)(c)(i)
2C	Transfer to an ICA within a taxpayer's accounts or to another taxpayer, or transfer of paid provisional tax: <i>despite 2B above, requested date if the date is in a following tax year and at the end of the year in which the transfer is made, the ICA credit from the ICA account the amount is transferred from equals or exceeds the amount of all transfers requested in the transfer year</i>	day of request for transfer	s OB4(4)(c)(ii)
2D	Transfer to ICA under s 173L or 173M of the TAA or s RC 32(5)(b)	date of transfer under s 173L , 173M or RC 32(5)(b)	s OB 4(4)(c)(iii)
3	Deposit into tax pooling account: <i>any tax payment made by an intermediary into a tax pooling account (¶22-365).</i>	day of payment	s OB 5
4	Transfer from tax pooling account: <i>any transfer of tax by an intermediary to company of an entitlement to funds that are held in a tax pooling account.</i>	day of credit	s OB 6
5	Payment of further income tax: <i>an ICA company has an imputation credit for an amount of further income tax paid under s OB 65 or s OB 66.</i>	day of payment	s OB 7
5B	Payment of qualifying company election tax: <i>any qualifying company election tax paid by the company.</i>	day of payment	s OB 7B
5BB	Payment of multinational top-up tax (from 1 January 2026)	day of payment	s OB 7BB

5C	<i>[Repealed]</i>		
6	Amount of tax withheld for resident passive income: <i>the amount of any RWT deduction treated as having been derived by the company in terms of s RA 9(1)(b).</i>	day on which amount is withheld	s OB 8
7	Imputation credit attached to dividend derived: <i>imputation credits attached to dividends received by a company during the tax year.</i>	day on which dividend is paid	s OB 9
7B	Attributed PIE income with imputation credit: <i>an ICA company that is an investor in a multi-rate PIE has an imputation credit for the amount of an imputation credit allocated to it under s HM 54.</i>	day of attribution	s OB 9B
7C	Research and development tax credits: <i>an ICA company has an imputation credit for the amount of R&D tax credits the company is entitled to.</i>	day on which return of income for income year is filed	s OB 9C
8	<i>[Repealed]</i>		
9	<i>[Repealed]</i>		
10	<i>[Repealed]</i>		
11	Transfer of debit balance when company leaves wholly-owned group: <i>the credit arising in the ICA of a company that ceases to be a member of a wholly-owned group.</i>	day on which company leaves group	s OB 13
12	Additional income tax payable when company leaves wholly-owned group: <i>the additional income tax paid by a company that ceases to be a member of a wholly-owned group under s OB 71.</i>	day of payment	s OB 14
13	Additional income tax when company joins wholly-owned group: <i>the additional income paid by a company that joins a wholly-owned group under s OB 72.</i>	day of payment	s OB 15
14	Attribution for personal services if company is not qualifying company: <i>under the personal attribution rules (38.89% from 1 April 2011) of an amount attributed under s GB 29 (s OB 16(1) and ¶133-325).</i>	31 March	s OB 16
15	<i>[Repealed]</i>		
16	Transfer from ASC account: <i>the amount of a credit balance transferred from an available subscribed capital account (ASCA) calculated under s OF 5(4) (¶124-070 and ¶124-192).</i>	day of transfer	s OB 18
17	Transfer to master fund by company: <i>an amount equal to the tax percentage of the amount of expenditure transferred to a master fund (a public unit trust or group investment fund that derives category A income) under ss DV 5–DV 7.</i>	day of transfer	s OB 19
17B	Transfer of credit to loss-using group company: <i>amount of an imputation credit transferred by an ICA company under an election under s OB 83 relating to the tax loss.</i>	day of transfer	s OB 19B
18	Māori authority credit attached to distribution: <i>Māori authority credits attached to a distribution made to the company during the tax year.</i>	day of distribution	s OB 20
19	Transfer of balance of MACA: <i>in the case of a company that stops maintaining a Māori authority credit, the amount</i>	day of transfer	s OB 21

	<i>of the credit balance in the MACA on the date the account is closed (124-327).</i>		
20	Replacement payment paid under share-lending arrangement: <i>imputation credits being attached, or treated as being attached, to a replacement payment paid to the company under a share-lending arrangement during the tax year under s OB 64 or RE 25.</i>	day of payment	s OB 22
21	Imputation credit shown in credit transfer notice: <i>imputation credits shown in a credit transfer notice issued by the company during the tax year.</i>	day on which notice is given	s OB 23
21B	Unused imputation credit payment by member before departure: <i>imputation credit transferred to member departing consolidated group for payments made but not yet used.</i>	day of credit to ICA of consolidated imputation group for unused imputation credit payment	s OB 23B
22	Imputation credit on resident's restricted amalgamation: <i>an ICA company has an imputation credit for the amount of credit that arises on or after a resident's restricted amalgamation. The credit arises in the amalgamated company's ICA when ss OA 10–OA 17 apply.</i>	credit date in account of amalgamating company	s OB 24
23	Reversal of debit for tax advantage arrangement: <i>an amount to offset a debit for imputation credits determined to have been the subject of an arrangement to obtain a tax advantage to the extent that it is subsequently established that the imputation credits were not the subject of any such arrangement.</i>	debit date of debit	s OB 25
24	Eliminating debit for loss of shareholder continuity cancelling tax pooling account deposit that is refunded or credited: <i>credit arises to eliminate what would otherwise be a double debit when there is a shareholder continuity debit under s OB 41 and after the shareholder continuity debit, a further debit arises under s OB 34 for a refund of an amount by an intermediary from a tax pooling account.</i>	day of refund or credit	s OB 26
25	Amount of tax withheld by Australian ICA company for non-resident passive income: <i>an Australian ICA company has an imputation credit for an amount of tax withheld by the payer of non-resident passive income.</i>	day on which amount is withheld	s OB 27
26	Amount of tax withheld from schedular payment to Australian ICA company: <i>an Australian ICA company has an imputation credit for an amount equal to the amount of tax for a schedular payment paid to the company as a non-resident contractor.</i>	day on which amount is withheld	s OB 28
27	Schedular income tax paid by Australian ICA company: <i>an Australian ICA company has an imputation credit for a payment of income tax relating to the company's schedular income tax liability for income derived under ss CR 3, CV 16 and CV 17 (non-resident insurers, shippers and film renters, respectively).</i>	day of payment	s OB 29

Transfers between tax types and taxpayers were not, in practice, aligning with legislation. Therefore, amendments made in 2022 to s [OB 4](#) set out the credit dates for transfer of debts and credits to a company's ICA (rows 2, 2B, 2C and 2D above).

From 30 March 2022, s [OB 4\(4\)\(c\)\(i\)](#) provides that the credit date of the transferred amount is the day on which the taxpayer requests the transfer, as long as the ICA credit equals or exceeds the amount of all transfers from that account requested in the tax year, and that the ICA to which the transfer is made is also

in credit. If these requirements are not met, subparagraph (ii) clarifies that the credit date is instead the date of transfer as defined in ss [173L](#) and [173M](#) of the TAA or s [RC 32\(5\)\(b\)](#) of the IT07.

The amendments do not alter the timing of the effective date of the underlying tax credit, just the entry in the ICA or MACA (for debits and credits in MACAs – ss [OK 2](#), [OK 3](#), [OK 11](#), [OK 12](#) and tables [O17](#) and [O18](#)).

Provisional tax

Any reference to income tax paid by a taxpayer in the imputation legislation is deemed to include a reference to provisional tax paid by the taxpayer. This means that a credit to the ICA arises for payments of instalments of provisional tax. An imputation credit also arises for a company on the transfer of overpaid provisional tax by one company within a wholly-owned group of companies to another company in the same group on the date the transfer is notified to the Commissioner.

For additional credits arising in an ICA for an Australian ICA company, see [¶17-215](#).

Law: IT07 ss [OA 5](#), [OA 7](#), [OB 4–OB 29](#), [Table O1](#), [YA 2\(7\)](#)

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Debits to record in imputation credit account [¶17-045]

[¶17-045]

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Debits to the ICA result in a reduction in the tax credits available for distribution to shareholders.

Timing of debits

For ease of reference the transactions that give rise to imputation debits in an ICA are discussed below and numbered in accordance with the numbering used in [Table O2](#) of the IT07. The following are debits to an ICA during a tax year:

Note: [Table O2](#) is located immediately after s [OB 84](#).

Table O2: imputation debits

Row	Imputation debit	Debit date	Further defined
1	<i>[Repealed]</i>		
2	Imputation credit attached to dividend paid by a company: <i>debit date is the day the dividend is paid. In some cases, the debit may not arise in the ICA of the company that actually paid the dividend, ie when the relevant dividend is paid under a staple stock arrangement within the scope of s GB 37. See ¶17-115.</i>	day of payment	s OB 30
3	Allocation of provisional tax: <i>provisional tax allocated by a company to an underpaid company in terms of s RC 32 (payments to be set off within wholly-owned group).</i>	day of notice of allocation	s OB 31
4	Refund of income tax: <i>a debit arises for income tax refunded to the company except in circumstances set out in s OB 32.</i>	day of refund	s OB 32
4B	Transfer from ICA under s 173L or 173M of the TAA or s RC 32(5)(b)	date of request for transfer	s OB 32(6)(b)(i)
4C	Transfer from ICA under s 173L or 173M of the TAA or s RC 32(5)(b)	date of request for transfer	s OB 32(6)(b)(ii)
4D	Transfer from ICA under s 173L or 173M of the TAA or s RC 32(5)(b)	date of transfer under s 173L , 173M , or RC 32(5)(b)	s OB 32(6)(b)(iii)
5	Overpaid income tax applied to meet another tax liability: <i>any overpaid income tax applied by the Commissioner in satisfaction of tax liabilities other than income tax or provisional tax instalments. (An exception to this rule applies where a debit has already arisen owing to a breach in continuity of shareholding.)</i>	day of application	s OB 33
6	Refund from tax pooling account: <i>refunds from an intermediary from a tax pooling account, for which a credit has been recorded in the company's ICA. See ¶17-040.</i>	day of refund	s OB 34
7	Transfer of entitlement to another person in tax pooling account: <i>a transfer from the company to another taxpayer by an intermediary of funds in a tax pooling</i>	set out in s OB 35	s OB 35

	account, for which a credit has been recorded in the company's ICA. See ¶17-040 .		
7B	Debit for transfer from tax pooling account for policyholder base liability: <i>an amount transferred from a tax pooling account to a tax account with the Commissioner, to the extent to which the company is a life insurer, and the amount satisfies its schedular income tax liability for schedular policyholder base income or its income tax liability for a life fund PIE that is a multi-rate PIE.</i>	31 March	s OB 35B
8	[Repealed]		
9	Transfer, refund or use of tax credit: <i>the amount transferred under s LA 6(2)(d) (remaining refundable credits: PAYE, RWT and certain other items), the amount of any credit of tax refunded to the company under s LA 6(2)(e). If there is a breach in shareholder continuity leading to a debit in the ICA under s OB 41, the debit for the refundable tax credit or a research and development tax credit is reduced by the lesser of (s OB 37(1C)):</i> # <i>the debit amount as a result of the breach in continuity under s OB 41, and</i> # <i>the amount by which the tax credit exceeds credits for income tax paid since the loss of continuity.</i>	day of transfer, refund or use	s OB 37
10	[Repealed]		
11	Overpaid income tax applied to satisfy pre-imputation income tax: <i>the amount of overpaid income tax that is applied to satisfy the company's income tax liability that was due and payable before the imputation rules came into force (unless the company previously experienced a breach in shareholder continuity).</i>	day of application	s OZ 3
12	[Repealed]		
13	Attribution for personal services: <i>an amount equivalent to the credit entry made for 38.89% of the amount attributed under the personal attribution rules, if the company's financial statements are adjusted to reflect this. See s OB 16.</i>	31 March	s OB 40
14	Debit for loss of shareholder continuity: <i>credits that fail to meet the continuity of shareholding requirements. See s OB 41 and ¶17-055.</i>	time of loss of continuity	s OB 41
15	Debit for on-market cancellation: <i>a company repurchasing shares on-market with no available subscribed capital remaining.</i>	day of acquisition	s OB 42
16	Debit for breach of imputation ratio: <i>a deficit resulting from the allocation of credits to shareholders which differ from the benchmark dividend imputation ratio.</i>	31 March	s OB 43
17	Transfer for debit balance when company leaves wholly-owned group: <i>a company that leaves a wholly-owned group and elects under s OB 13 to debit the ICA of another group company with the debit balance in the leaving company's ICA.</i>	day on which company leaves group	s OB 44

18	Redemption debit for unit trust or group investment fund for income year: <i>a debit arises where the manager or trustee of a unit trust or GIF derives a dividend on redeeming units purchased from investors in the ordinary course of its activities. The amount of the debit is the greater of:</i> # <i>the total imputation attached to the dividend, or</i> # <i>the amount of income tax liability that is attributable to the dividend.</i> <i>See Tax Information Bulletin 179-101 Vol 7, No 9, February 1996.</i>	day on which return of income for income year is filed	s OB 45
19	Transfer from member fund to master fund: <i>a debit arises where a member fund transfers an amount of expenditure to a master fund under ss DV 5–DV 7. The amount of the debit is the amount of expenditure transferred multiplied by the company tax rate.</i>	31 March	s OB 46
19B	Transfer of credit to loss-using group company: <i>an imputation credit transferred under an election under s OB 83 to a company that uses a tax loss made available under s IC 5.</i>	day of transfer	s OB 46B
20	Debit for policyholder base imputation credits: <i>a life insurer who elects to transfer any of the credit balance in the company's ICA to its policyholder base.</i>	31 March	s OB 47
20B	Recipient of R&D loss tax credits	31 March	s OB 47B
21	Credit balance when MACA starts: <i>the amount of any credit in the imputation account of a company that becomes a Maori authority and establishes a MACA.</i>	day of becoming Maori authority	s OB 48
22	Credit attached to replacement payment paid by company under share-lending arrangement: <i>imputation credits attached under s OB 64 to a replacement payment paid under a share-lending arrangement by the company during the tax year.</i>	day of payment	s OB 49
23	Credit attached to dividend paid to company shown in returning share transfer: <i>imputation credits attached to a dividend paid to the company during the tax year as a share user (or an associate of a share user) in a returning share transfer that is not a share-lending arrangement.</i>	day of payment	s OB 50
24	Credit attached to dividend paid to company shown in credit transfer notice: <i>imputation credits attached to a dividend paid to the company in a tax year and which are shown in a credit transfer notice issued by the company.</i>	day of payment	s OB 51
25	Amount of credit balance transferred to consolidated imputation group's ICA	credit date for group's imputation credit	s OB 52
26	Imputation debit or policyholder debit in account of amalgamating company	debit date in account of amalgamating company	s OB 53
27	Debit for tax advantage arrangement: <i>penalty debits when tax credits are allocated in pursuance of an avoidance arrangement in terms of s GB 36.</i>	last day of tax year in which arrangement began	s OB 54

28	Retrospective attachment of imputation credit to non-cash dividend	day of payment of dividend	s OB 55
29	Final balance when ICA company status ends: <i>an amount equivalent to the credit balance in the ICA when a company ceases to operate an ICA.</i>	day of cessation	s OB 56
30	Refund of amount of tax for non-resident passive income to Australian ICA company: see ¶17-215 .	day of refund	s OB 57
31	Refund of amount of tax for schedular payment to Australian ICA company: see ¶17-215 .	day of refund	s OB 58
32	Refund of schedular income tax to Australian ICA company: see ¶17-215 .	day of refund	s OB 59

Law: IT07 ss [OA 7](#), [OB 30–OB 59](#), [Table O2](#)

Last reviewed on 31 December 2025

Imputation credit account: debit or credit incorrectly recorded [¶17-050]

[¶17-050]

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Should the Commissioner consider that there has been an incorrect recording of debits and credits arising in the company's ICA, the Commissioner may issue a determination under s [104B](#) of the TAA adjusting the amount of a credit or debit or a credit/debit date. Any such determination under this section may be challenged in the same way as an assessment.

Law: IT07 s [OA 2\(5\)](#); TAA s [104B](#)

Last reviewed on 31 December 2025

Continuity requirements for carry forward of imputation credits [¶17-055]

[¶17-055]

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A company cannot carry forward imputation credits unless a continuity of shareholding test is satisfied ([¶18-023](#)). This test limits the carry-forward of imputation credits for subsequent utilisation to situations where at least 66% of those persons who will benefit from such utilisation bore the tax liability that gave rise to the credit. In other words, imputation credits cannot be retained by a company that is later sold to shareholders who can make effective use of the imputation credits. To prevent this, credits in the company's ICA at the time of the shareholding change are cancelled by a debit entry in the ICA (ss [OA 8\(6\)\(a\)](#) and [OB 41](#)). Such an entry will be treated as arising on the date the shareholder continuity is breached.

If there is a breach in shareholder continuity leading to a debit in the ICA under s [OB 41](#), the debit for the refundable tax credit or a research and development tax credit is reduced by the lesser of (s [OB 37\(1C\)](#)):

- # the debit amount as a result of the breach in continuity under s [OB 41](#), and
- # the amount by which the tax credit exceeds credits for income tax paid since the loss of continuity.

Shareholder continuity requirements

For the purposes of the continuity of shareholding requirements for imputation, the minimum voting interest or market value interest of any person will be equal to the lowest voting interest or market value interests held by that person during the period (s [OA 8\(7\)](#)). When calculating a person's voting or market value interests for imputation purposes, redeemable preference shares are taken into account.

In addition, any debit can only be taken into account once for the purpose of determining whether a credit balance has been cancelled out. A credit cancelled out before the shareholder continuity breach by a debit (irrespective of whether the debit arises before the credit or subsequently) is not affected. The ICA anti-avoidance rules are contained in s [GB 34](#). Where any shares have been subject to an arrangement or where any rights attaching to shares in a company have been extinguished or altered in any way to enable the company to meet the shareholder continuity requirements, the relevant company is treated as not having met the continuity requirements in respect of those shares (s [GB 34\(2\)](#)).

Qualifying companies

The shareholder continuity requirements do not apply to qualifying companies.

However, if a qualifying company no longer meets the requirements for retaining qualifying company status under ss [HA 5–HA 9](#) then:

- # an adjustment must be made to the company's ICA under s [HA 18](#), and
- # the shareholder continuity requirements (set out above) apply to the company from the day its qualifying company status ends (s [OA 8\(3B\)](#)).

Section [OB 41\(3B\)](#) stipulates that a qualifying company does not have an ICA debit for loss of shareholder continuity. The exception is in circumstances where the company loses qualifying status (ss [HA 11\(1\)](#), [HA 18](#), [¶19-055](#) and [¶19-075](#)).

Law: IT07 ss [GB 34](#), [OA 8](#), [OB 41](#)

Last reviewed on 31 December 2025

Allocation rules for imputation credits [¶17-060]

[¶17-060]

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An ICA company may attach an imputation credit to any dividend it pays (ie both cash and non-cash dividends) to its shareholders. The total of the dividend plus the attached imputation credit will be included in the income of the shareholder.

To keep track of its imputation credits every company is required to operate an ICA ([¶17-025](#)). The balance of the ICA effectively determines the amount of credits the company is able to allocate to its shareholders in any tax year.

Not all shareholders can use imputation credits (eg non-resident shareholders) to the same extent. Accordingly, companies may wish to direct credits to those shareholders best able to use them. To prevent excessive imputation credits being attached to dividends paid to certain shareholders, the credits are subject to 2 allocation rules, designed to ensure that credits are apportioned to all shareholders rather than to selected groups.

The first allocation rule restricts the maximum amount of imputation credits that can be attached. It requires that the imputation ratio of the dividend cannot exceed the fraction set out under s [OA 18\(2\)](#):

$$\text{tax rate} \div (1 \text{ \# tax rate})$$

The “tax rate” is the basic rate of income tax for companies for the income year. For example, the maximum imputation ratio for the 2011–12 and subsequent income years is 28:72 or approximately 39%.

When the credit ratio of a dividend applied by a company exceeds the maximum ratio, the excess credit is not allowed to shareholders, nor is it included in the definition of “dividends”. The Commissioner has certain powers to determine whether there is an arrangement to obtain a tax advantage ([¶17-120](#)).

The second allocation rule is designed to prevent the “streaming” of imputation credits to different shareholders or classes of shareholder during a tax year. This rule requires that every subsequent dividend paid by the company during the same tax year have the same imputation ratio as the benchmark dividend ([¶17-065](#)).

Excluded Australian dividends

Imputation credits cannot be attached to a dividend that is paid in relation to a share that is a debt interest under the Australian Income Tax Assessment Act 1997 and which was included in the Australian tax return of the paying company. This includes dividends paid on Australian-issued redeemable preference shares. For most purposes the exclusion applies to dividends paid after 21 July 2005. However, several grandparenting rules apply (s [OB 63](#)).

Law: IT07 ss [OA 18](#), [OB 60](#)–[OB 63](#)

Last reviewed on 31 December 2025

Benchmark dividend for imputation purposes [¶17-065]

[¶17-065]

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To prevent the “streaming” of credits to shareholders who are more able to use them, every dividend (including non-cash dividends) paid during a tax year must carry imputation credits at the same imputation ratio. The first dividend paid by a tax credit account company during the year is called the “benchmark dividend”. All subsequent dividends paid during that tax year must carry credits at the same ratio as the benchmark dividend.

Example:

If there are no credits attached to the benchmark dividend, every subsequent dividend paid in that year will also have no credits attached.

A breach of the imputation ratio rule gives rise to an imputation debit under s [OB 43 \(¶17-045\)](#). However, a company may allocate credits to a dividend at a ratio that differs from the benchmark if the Commissioner is furnished with a ratio change declaration in accordance with s [OB 61\(6\) \(¶17-070\)](#).

The “payment” of non-cash dividends has benchmark dividend implications. Non-cash dividends are taxable to shareholders who are not also employees of a company. Non-cash dividends are treated as being paid to and derived by the shareholder once a year on the earlier of the date of notification to the shareholder of the amount of the dividend or 6 months after the end of the company’s income year. Non-cash dividends can arise from the provision of company property or interest-free or low-interest rate loans to shareholders ([¶16-550](#) and [¶16-585](#)).

Law: IT07 ss [OB 43](#), [OB 61](#)

Last reviewed on 31 December 2025

Ratio change declaration for imputation purposes [¶17-070]

[¶17-070]

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The purpose of the allocation rules is to prevent the streaming of credits. Therefore, the imputation ratio of a dividend paid after the benchmark dividend in a tax year may only differ from that applied to the benchmark dividend if:

- # the company completes a declaration to the effect that a subsequent dividend is not being credited at a different ratio to the benchmark dividend as part of an arrangement to obtain a tax advantage, and
- # a ratio change declaration (form [IR407](#)) is filed with IR before the date of payment of the subsequent dividend, although there is a discretion to accept late lodgements.

Law: IT07 s [OB 61](#)

Last reviewed on 31 December 2025

Allocation debit for imputation purposes [¶17-075]

[¶17-075]

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If the second allocation rule is breached, for example, where a company fails to file a ratio change declaration (form [IR407](#)) or IR does not accept the declaration because the subsequent dividend paid is part of an arrangement to obtain a tax advantage, an allocation debit arises to the ICA. This allocation debit is calculated as follows:

$$(a \times b) \div c$$

where:

a is the amount of all dividends paid by the company during the tax year (excluding any imputation credits attached)

b is the lesser of the highest imputation ratio of dividends paid during the year and the maximum ratio allowable for the year, and

c is the amount of all imputation credits attached to dividends paid by the company during the tax year.

Example:

April 20X3	Dividend paid to A and B	\$10,000 with \$2,000 credits
July 20X3	Dividend paid to A and B	\$10,000 with \$3,000 credits

The dividend paid in July is credited at a different imputation ratio from the dividend paid in April. Assuming a ratio change declaration has not been filed with IR, a debit therefore arises to the ICA of

$$\$20,000 \times \frac{3}{10} \div \$5,000 = \$1,000.$$

A debit of \$1,000 arises to the ICA of the company at the end of that tax year. The company is liable to pay further income tax and imputation penalty tax ([¶14-070](#)).

The allocation debit is the difference between the total amount of imputation credits actually allocated to dividends paid out during the income year and the total amount of imputation credits deemed to have been attached if all such dividends had imputation ratios equal to the highest imputation ratio. The difference between the deemed and allocated credit is debited to the ICA even when this means an ICA debit at 31 March and the incurring of a penalty.

Law: IT07 s [OB 43](#)

Last reviewed on 31 December 2025

Annual imputation return [¶17-080]

[¶17-080]

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Every ICA company is required to furnish an annual imputation return on form IR4J showing the opening and closing balances of the ICA, the amount and source of all debits and credits to the ICA for the previous year and the amount, if any, of further income tax or imputation penalty tax that may be payable. The only exception is a company that is a member of a consolidated imputation group that has a nil balance at all times during the year. This return must be furnished no later than the time allowed in s 37 of the TAA (ie the date for filing the return is the date the company is required to furnish a return of income for the income year that corresponds to the tax year). Failure to file an annual imputation return on time will result in a liability to pay a late filing penalty (s 139A of the TAA and ¶14-040).

A company may file an imputation return relating to any period within a tax year, calculated from the first day of the year and ending on a day nominated by the company (an interim return). The last day of this period may not be more than 7 days before the imputation return is filed (s 70(3) of the TAA).

Ceasing to be an ICA company

When a company ceases to be an ICA company, it must furnish to the Commissioner, not later than 2 calendar months after the last day it was an ICA company, an annual ICA return covering the period from the first day of the tax year and ending with the last day the company was an ICA company (s 70(2) of the TAA). The Commissioner also has the power to require a company to file a return of the entries in its ICA at any time.

Example:

Stripy Ltd goes into liquidation on 4 February 20X2. Stripy Ltd is still in the process of liquidation on 31 March 20X2. The liquidator completes and files the final financial statements of Stripy Ltd and the company is removed from the companies register on 20 May 20X2. The liquidator must file an annual imputation return for the tax year ended 31 March 20X3, and an imputation return for the period 1 April 20X2 to 20 May 20X2.

Tax pooling account

An ICA company or consolidated imputation group (¶17-250) that is affected by a refund or transfer relating to an amount in a tax pooling account must file a revised ICA return for a tax year if:

- # the refund or transfer occurs after the end of a tax year, and
- # the refund or transfer causes the balance of the ICA for the end of the tax year to become a debit balance, or a balance that is less than the amount of a refund that the company would anticipate receiving but for the limitation on the amount that can be refunded under s RM 13(1) (s RM 13(2) and ¶17-105).

The revised ICA return must be filed within 2 calendar months of the date of the refund or transfer in the tax pooling account.

Additional entries are required in a company's ICA if it is a policyholder credit account (PCA) company or a public unit trust or a group investment fund that derives category A income (¶24-070 and ¶24-192).

See ¶17-225 for additional ICA return filing requirements for an Australian ICA company.

Law: TAA ss 69, 70, 139A

Last reviewed on 31 December 2025

Company dividend statement for imputation purposes [¶17-085]

[¶17-085]

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A company that pays a taxable dividend has to provide the information specified in s [25G](#) and detailed in Sch [6](#) of the TAA. In addition, the relevant information has to be provided on the 20th of the month following the month in which the dividend was paid.

See [¶17-225](#) for additional requirements for an Australian ICA company.

Law: TAA ss [25E\(1\)\(c\)](#), [25G](#), [227E](#), [Sch 6](#)

Last reviewed on 31 December 2025

Shareholder dividend statement for imputation purposes [¶17-090]

[¶17-090]

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A shareholder dividend statement must be sent to a shareholder when a dividend with an imputation credit attached is paid. Shareholders must be notified whenever resident withholding tax (RWT) is deducted from a dividend (except in relation to a “dividend treated as interest”, which is essentially a dividend that cannot carry an imputation credit, see [¶15-030](#)). This allows the shareholder to claim the appropriate amount of the credit whenever credits are paid. The statement shows the following:

- # the name of the company
- # the date the dividend has been paid
- # the name and address of the shareholder to whom the dividend has been paid
- # the amount of RWT withheld, if any
- # the amount of NRWT withheld, if any
- # the amount of the dividend paid to the shareholder (ie the net dividend)
- # the amount of any imputation credit attached to the dividend
- # the aggregate of the amount of the dividend and the amount of any imputation credit attached to the dividend (ie the gross dividend)
- # the amount of any dividend paid to a retirement savings scheme as a retirement scheme contribution for the shareholder
- # the name of the retirement savings scheme
- # the amount of any imputation credit used and the amount of any imputation credit remaining after the company has used such a credit to satisfy a liability for RSCT, and
- # such other information as may be required by the Commissioner.

See [¶17-225](#) for additional requirements for an Australian ICA company.

A shareholder dividend statement is deemed to have been given to a shareholder if it is delivered in a way described in s [14F](#) ([¶1-645](#)) to the shareholder or a person authorised to act on their behalf.

Law: TAA ss [14F\(4\)](#), [29](#)

Last reviewed on 31 December 2025

Further income tax, imputation penalty tax and other penalties for imputation purposes [¶17-100]

[¶17-100]

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Failure to comply with the imputation provisions results in a company being liable to a penalty regime made up of further income tax, imputation penalty tax and late payment penalties. Failure to file the annual imputation return may result in the imposition of a late filing fee and, depending on the degree of care exercised, possible shortfall penalties.

The range of possible penalties for non-compliance is set out below.

Further income tax

Where there is a debit balance in a company's ICA at 31 March of any year, the company is liable to pay further income tax. The amount of further income tax payable is equal to the debit balance. No further income tax is payable if the debit balance in the company's ICA arose solely because of a debit recorded on the transfer of expenditure by the company to a master fund under ss [DV 5–DV 7](#).

In the majority of cases, further income tax is payable not later than 20 June following the end of the imputation year in which there was a debit balance.

Example:

At 31 March 20X3, Co X's ICA shows a debit balance of \$20,000. Co X is therefore required to pay further income tax of \$20,000 by 20 June 20X3.

However, if a company ceases to be an ICA company, and immediately before that there is a debit balance in its ICA, further income tax is payable no later than the last day on which the company is an ICA company. Where the company ceases to be an ICA company because it becomes a PIE, the further income tax is payable by the end of the last tax year.

Example:

Co Y is being liquidated. The registrar of companies removes the company from the register on 31 March 20X3 (ie the company ceases to be an ICA company on that date). Immediately before 31 March 20X3, the company has a debit balance in its ICA of \$20,000. Co Y is liable to pay further income tax of \$20,000 on 31 March 20X3.

Companies that are to continue trading may credit any further income tax paid against any future income tax liability or instalment of provisional tax for which they become liable. The effective date of the credit is the date on which the payment of further income tax is received by IR.

A company that is liable to pay further income tax in relation to a tax year may elect to credit a tax payment made after the end of the tax year to satisfy the further income tax liability. The income tax paid after the end of the tax year must be in relation to an income year that corresponds to a tax year in which the company was an ICA company. The effective date of the credit is the date on which the Commissioner receives the payment of income tax.

Reduction of further income tax

A company's liability for further income tax may be reduced if the company notifies the Commissioner and:

- # the company had a debit balance in its ICA at the end of the immediately preceding tax year (the earlier debit balance), and
- # the earlier debit balance exceeds the total of the credits that have arisen in the ICA during the tax year.

The liability for further income tax will be the debit balance in the company's ICA at the end of the second year less the greater of zero and the amount by which the first year's ICA debit balance exceeds the credits made to the account during the second tax year.

Example:

FIT Co Ltd has a debit balance in its ICA at 31 March 20X3 of \$10,000. At 31 March 20X2 the company's ICA balance had a debit balance of \$5,000. During the 20X2–X3 tax year, the total amount of credits arising in the company's ICA was \$2,000. FIT Co Ltd notifies the Commissioner. The further income tax payable for the 20X2–X3 tax year will be reduced to \$7,000, being \$10,000 less \$3,000 (\$5,000 less \$2,000).

The further income tax paid is also a credit entry in the ICA in the year in which it is paid (s [OB 7](#)).

See also [117-220](#) for an Australian ICA company.

Imputation penalty tax

A company that is liable to pay further income tax under s [OB 65](#) in respect of an end of year debit balance in its ICA is also liable to pay a special tax known as imputation penalty tax. This tax is imposed at the rate of 10% on the amount of further income tax payable. The due date for payment of imputation penalty tax is the same as that for further income tax (ie 20 June following the end of the tax year to which the penalty relates).

Example:

Following on from Example 1 above, in addition to the \$20,000 further income tax, Co X is also required to pay \$2,000 of imputation penalty tax. The total amount payable on 20 June 20X3 is therefore \$22,000.

Imputation penalty tax is not payable by companies that are liable to further income tax by virtue of s [OB 66](#) (ie debit ICA balance immediately before the company ceases to be an ICA company).

Example:

Following on from Example 2 above, Co Y is not liable to pay imputation penalty tax because it is liable for further income tax under s [OB 66](#) rather than s [OB 65](#).

Unlike the further income tax paid, the imputation penalty tax is not a credit entry to the company's ICA.

Section [OB 67](#) ensures that a debit balance in a company's ICA at the end of a tax year on which further income tax has already been paid does not give rise to double taxation if the ICA also has a debit balance at the end of the following tax year.

Penalties for late payment of further income tax and imputation penalty tax

If a company fails to pay its further income tax liability and any imputation penalty tax by the due date, the general compliance and penalties rules will apply. An initial late payment penalty is applied in 2 stages: a 1% penalty the day after the due date and, if the amount outstanding is not paid within a week of the due date, a further 4% penalty is applied to the total outstanding amount. This is followed by a monthly incremental penalty of 1% until the date of payment (s [139B](#) of the TAA).

Taxpayers are notified the first time they make a late payment of tax. The late payment penalty will then only be imposed if the payment is not made within one month after the date of the notice. However, if the taxpayer makes other late payments within 2 years of the due date of the first late payment, the late payment penalty will be imposed as usual from the day after the due date. See s [139B\(1\)](#) of the TAA. The Commissioner is also empowered to apply a grace period and to determine whether the grace period should have applied to an earlier period.

Use of money interest runs from the day after the due date on the unpaid income tax, including accumulated penalties and shortfall penalties. The potential application of late filing penalties under s [139A](#) of the TAA, shortfall and criminal penalties must also be borne in mind ([¶14-050–¶14-100](#) and [¶14-230](#)).

Remission of late payment penalty and interest on further income tax

In certain circumstances, the Commissioner must remit any interest payable by the company and the late payment penalty payable on the further income tax ([¶14-180](#) and s [181C](#) of the TAA).

Remissions of imputation penalty tax

In accordance with s [180](#) of the TAA, the Commissioner may remit imputation penalty tax in the following circumstances:

- # the liability for imputation penalty tax arose by virtue of a debit to the company's ICA in relation to imputation credits determined to have been the subject of an arrangement to obtain a tax advantage (under the anti-avoidance provisions in ss [GB 35](#) and [GB 36](#)) and, subsequently, it is established that the imputation credits were not the subject of any such arrangement
- # the liability for the imputation penalty tax arose by virtue of a tax refund having been sent, but not received by the company before the end of the tax year, or
- # the liability for the imputation penalty tax arose by virtue of a debit arising under any provision of s [OB 33](#) (application of overpaid income tax) or [OP 31](#) (application of overpaid income tax of consolidated imputation group), and s [OZ 3](#) (application of overpaid income tax for pre-imputation income year), and the taxpayer did not become aware of the debit in time to remove the debit balance before the end of the year.

In the event that remission occurs under one of these heads, the Commissioner is also required to remit any late payment penalties imposed on the further income tax and imputation penalty tax under s [139B](#) of the TAA.

Remission or cancellation of imputation penalty tax, late payment and late filing penalties, and interest

In addition to the specific remission provisions referred to above, the general remission and cancellation provisions in ss [183A–183H](#) of the TAA may also apply ([¶14-180](#)).

Challenges to assessments of further income tax

The Commissioner may issue an assessment for the amount of further income tax payable. Assessments of further income tax are treated in similar fashion to assessments of ordinary income tax (s [101\(3\)](#) of the TAA). This means that assessments are deemed to be correct unless proceedings challenging the assessment are made ([¶14-220](#)) and assessments may be varied by the Commissioner in accordance with s [113](#) of the TAA.

If the Commissioner issues an assessment of further income tax that increases the amount payable, the Commissioner is required to set a new due date for payment of that further income tax. There will be no penalty on the newly assessed tax if it is paid by the new due date. Furthermore, any use of money interest applying from the date of the notice until the due date specified in the notice will be cancelled.

Law: IT07 ss [BF 1\(c\)](#), [IA 2\(4\)\(d\)](#), [OB 7](#), [OB 65–OB 70](#), [YA 2\(1\)–\(3\)](#); TAA ss [101](#), [139B](#), [140B](#), [142E\(1\)](#), [180](#), [181C](#)

Last reviewed on 31 December 2025

Limit on refund and transfer of tax for imputation purposes [¶17-105]

[¶17-105]

[Click to open document in a browser](#)

Under s [RM 2](#) the Commissioner is required to make a refund of tax when the Commissioner is satisfied that the tax has been paid in excess of the amount properly payable ([¶12-145](#)). For an ICA company, tax paid in excess may not include any further income tax paid under ss [OB 65](#) and [OB 66](#) (s [RM 17](#)).

Limit on refunds — s RM 13

In s [RM 13](#) the amount of a refund to be paid to an ICA company or any transfer of tax within a wholly-owned group of companies is limited to the amount of the credit balance in the ICA of the company at the later of:

- # the last day of the tax year just ended (unless the company has an extension of time for filing its annual ICA return), or
- # the last day of the period for which the company is required by the Commissioner to file a return under s [70\(1\)](#) of the TAA, or
- # the last day of a period for which the company filed an annual ICA return for a specified period under s [70\(3\)](#) of the TAA.

With respect to a company with an extension of time for filing its imputation return that has not filed its return for the most recent tax year at the date the refund is due, but has filed its return for the preceding tax year, the refund or the amount transferred within a wholly-owned group of companies is limited to the credit balance of the company's ICA on the last day of that preceding tax year, not the most recently ending tax year (s [RM 13\(3\)](#)).

Note that s [RM 13](#) does not apply to the refund of provisional tax paid under AIM.

Company ceasing to be an ICA company — s RM 14

A restriction is imposed on a refund of income tax entitled to be paid or transferred where a company has ceased to be an ICA company.

A company that is entitled to:

- # have a refund of income tax when the company was an ICA company, or
- # make a transfer when the company was an ICA company

can have a refund or make a transfer for an amount which cannot exceed the final credit balance of the ICA at the time the company stops being an ICA company.

This restriction also applies to an ICA company that is part of a wholly-owned group of companies that becomes entitled to make a transfer of an amount of overpaid provisional tax under s [RC 32](#).

Reduction in credit balance — s RM 15(1)

When the ICA company becomes entitled to more than one refund or more than one transfer a limit is applied to the second refund or transfer.

A credit balance referred to in ss [RM 13](#) and [RM 14](#) is reduced by a tax refund or transfer of tax paid within a wholly-owned group of companies, made earlier in the same tax year.

Increase in credit balance — s RM 15(2) and (3)

The credit balance of the company's ICA is increased by the amount of any debit made to the company's ICA for failure to maintain shareholder continuity imputation credits under s [RM 15\(2\)](#).

The amount of the increase is equal to the amount that satisfied the company's income tax liability for the tax year and before the date in which the credit balance is determined under ss [RM 13](#) and [RM 14](#).

The company may receive a refund of tax, or make a transfer of overpaid provisional tax to another company within the same wholly-owned group under s [RM 32](#), for an amount of a debit for loss of shareholder continuity made under s [OB 41](#) up to the balance in the ICA at the time of the loss of shareholder continuity. This is the case even though the ICA company has a nil balance in its ICA at the time entitlement to a refund or transfer of overpaid tax is determined as a result of a loss of shareholder continuity (*Tax Information Bulletin* [¶137-116 Vol 3, No 7](#), April 1992 at 17).

The limits on refunds of tax payable to ICA companies are intended to prevent the refund of income tax that may have been applied to the benefit of shareholders through the attachment of imputation credits.

From 1 April 2018, for a company that has a refundable tax credit after a debit to its ICA for failure to maintain shareholder continuity under s [OB 41](#), a credit balance is increased by the lesser of the amount of the debit under s [OB 41](#) and the amount by which the refundable tax credit exceeds the total credits to the company's ICA during the period from the date of the debit to the date on which the credit balance is to be determined under ss [RM 13](#) and [RM 14](#).

Application of amount not refunded or transferred — s RM 16

Where restrictions are made under ss [RM 13](#) and [RM 14](#) on refunds or transfers within a wholly-owned group, there are several possibilities available in relation to the amount unable to be refunded or transferred.

The first possibility is that the tax that cannot be refunded or transferred can be credited towards payment of any income tax or provisional tax payable by the company for the same tax year as the entitlement to the refund or transfer.

The second possibility is that the tax that cannot be refunded or transferred is able to be credited towards payment of any income tax or provisional tax payable by the company for another tax year that is not the same tax year as the entitlement to the refund or transfer.

A further possibility is that the tax that cannot be refunded or transferred is not able to be credited in payment of income tax or provisional tax for a tax year because the company has been liquidated or for any other reason. If there is no tax liability to be set off, the Commissioner retains the amount of overpaid tax. In this situation there would be a debit entry in the ICA of the cash amount refunded to the company, but there would not be a debit entry for the amount retained by the Commissioner.

The amount of tax that cannot be refunded or transferred to a company that is part of a wholly-owned group may be applied in crediting provisional tax if the taxpayer's residual income tax is payable on the provisional tax instalment date (s [RM 16\(3\)](#)).

Limits on refunds of tax for certain public unit trusts and group investment funds

Special rules apply upon the liquidation of a public unit trust or group investment fund, or when a public unit trust or group investment fund chooses to become a PIE, when there is a nil balance in the public unit trust's or group investment fund's ICA. A refund of tax is allowed to the extent that there is a credit in the public unit trust's or group investment fund's ASCA. The amount of the refund is limited to the imputation credit value of the balance of the public unit trust's or group investment fund's ASCA. This value is calculated by multiplying the credit balance in the ASCA by the imputation ratio formula in s [OA 18\(2\)](#). The company rate of tax used in the imputation ratio formula is the company rate of tax for the year in which the liquidation occurs or the election is made. See s [RM 33](#). For more on ASCAs, see [¶124-070](#) and [¶124-192](#).

Limits on refunds of tax paid to Māori authorities

Section [RM 22](#) limits the amount of a tax refund paid to a Māori authority. The rules are similar to those outlined above for a company ([124-327](#)).

Law: IT07 ss [RM 13–RM 17](#), [RM 33](#)

Last reviewed on 31 December 2025

Loss grouping and imputation credits [¶17-107]

[¶17-107]

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Background

Less income tax is paid when a profit company and a loss company engage in loss grouping, which results in the profit company receiving fewer imputation credits than it would have, had it not engaged in loss grouping. Having fewer imputation credits becomes an issue when that profit company later chooses to pay a dividend to its shareholders. Unless the profit company is wholly-owned by a corporate parent, the dividend will be taxable, and the imputation credits in the profit company's ICA will determine whether it is able to fully impute that dividend. In some cases, the profit company will have insufficient imputation credits to enable it to pay a fully imputed dividend. This results in a tax impost for the shareholder upon distribution of the loss-sheltered profits, effectively clawing back the benefit of the loss grouping.

This inability for non-wholly-owned companies to fully impute dividends as a result of loss grouping was considered inappropriate and changes were made for the 2017–18 and later income years, to allow companies that are commonly owned, but not wholly owned, to transfer imputation credits as part of loss grouping.

Amount of credits

The maximum amount of credits groups may elect to transfer is equal to the tax effect of the total of loss grouping to a company within the commonly owned group that is in a profit position (s [OB 83\(7\)](#)). There is no restriction on a group transferring less than the maximum amount.

Destination and source of credits

The company receiving the imputation credits is always the same company that received the benefit of the loss grouping — the profit company. The credits are sourced from either the company that has transferred its loss to the profit company (the loss company) or another company in the group that has an ownership interest of at least 66% in the profit company (the imputation source company).

Eligibility for transfers

Companies are eligible to transfer imputation credits if all of the following criteria are met:

- # the profit company, the loss company and the imputation source company (if applicable) are all part of the same commonly owned group and eligible to maintain an ICA
- # the profit company is not part of the same wholly-owned group with either the loss company or the imputation source company (if applicable), and
- # the loss company has elected to undertake an imputation credit transfer.

Imputation credit transfer election

The loss company must make an election to the Commissioner to transfer imputation credits.

The election must include the name and tax file number of the profit company, loss company and imputation source company (if applicable), and the amount of the loss offset and/or subvention payment.

Timing of imputation credit transfer

The imputation credit transfer is recorded by an entry in the ICA of each company at the time the loss company pays a dividend to its shareholders, rather than when the loss grouping occurs. This is the time at which the issue of insufficient imputation credits arises and mitigates the risk that this mechanism could be used as a way of imputation credit shopping.

If the amount of the imputation credits attached to the dividend is less than the loss offset and/or subvention payment in the election, the transfer is limited to the amount of the imputation credits attached to the dividend. Any remaining balance from the election continues to be available to be transferred if and when a subsequent dividend is paid.

Limit on imputation credit transfers

Notwithstanding the amount of an imputation credit transfer election, credits cannot be transferred if any of the following events occur:

- # the loss company, profit company and imputation source company (if applicable) cease to be part of a commonly-owned group or become part of a wholly-owned group
- # the loss company, the profit company or the imputation source company (if applicable) breach the shareholder continuity requirements for memorandum accounts for the period beginning on the first day after the year that contains the loss grouping, or
- # 4 years have passed since the end of the income year of the profit company that benefited from the loss grouping.

Law: IT07 ss [OB 19B](#), [OB 46B](#), [OB 83](#), [OB 84](#)

Last reviewed on 31 December 2025

Limits on amount of imputation credits [¶17-110]

[¶17-110]

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The limits for imputation credits are set out in subpart [LE](#). If the amount of the tax credit becomes limited under one of those provisions, the assessable income of the shareholder is similarly reduced. The shareholder can only include in assessable income the amount actually available as a tax credit rather than the amount that may have been attached to the dividend.

Minor trust beneficiaries

A special provision applies when a distribution of beneficiary income made to a minor includes dividends with imputation credits attached. Section [LE 4](#) provides that an imputation credit calculated in relation to a minor trust beneficiary is included in the assessable income of the trustee and does not form part of the beneficiary's assessable income.

Close company beneficiaries

From 1 April 2024, s [LE 4B](#) provides that when beneficiary income, in the form of dividend, is distributed to a close company and subject to the corporate beneficiary rule under s [HC 38](#) ([¶25-120](#)), the trustees of the trust are treated as deriving this dividend income as a beneficiary. This means the trustees are able to utilise any imputation credits attached to the dividend to satisfy tax liability.

Credits of a beneficiary

Where a beneficiary derives dividends or distributions with the credits attached, a formula must be applied to pro-rate credits over the total of all distributions made to beneficiaries during the relevant income year ([¶25-260](#)). The formula is as follows:

$(\text{person's distributions} \div \text{trust distributions}) \times (\text{total beneficiary credits} \# \text{person's supplementary dividend})$

where:

person's distributions is the total amount of all distributions from the trust made to the beneficiary during the tax year

trust distributions is the total amount of all distributions from the trust made to all beneficiaries during the tax year

total beneficiary credits is the total amount of all imputation credits and the total amount of supplementary dividends paid to all beneficiaries of the trust during the tax year, and

person's supplementary dividend is the total amount of all supplementary dividends from the trust made to the beneficiary during the tax year.

If a beneficiary receives a supplementary dividend under the FITC regime, the formula includes a reduction for the amount of the supplementary dividend. This reduction maintains the rule against streaming of imputation credits to trust beneficiaries in the context of the FITC regime.

Example:

During an income year, the trustees of the T Family Trust make the following distributions to beneficiaries:

- # dividends of \$12,000 distributed to Mrs T, there being attached to the dividends imputation credits of \$2,400
- # capital of \$5,000 and dividends of \$2,000 distributed to Miss T, there being attached to the dividends imputation credits of \$500
- # capital of \$2,000 and interest of \$3,000 distributed to Master T.

It is apparent that \$2,900 is the total amount of all imputation credits attached to dividends distributed to beneficiaries during the income year, and that \$24,000 is the total amount of all distributions made to beneficiaries during the income year.

Mrs T would include within assessable income an imputation credit calculated as follows:

$$2,900 \times \frac{12,000}{24,000} = \$1,450$$

Miss T would include within assessable income the amount of an imputation credit calculated as follows:

$$2,900 \times \frac{7,000}{24,000} = \$845.83$$

No calculation is made in relation to Master T because there was no distribution to him of dividends with an imputation credit attached.

The effect of making these calculations is that an amount of credit equal to \$604.17 is not included within the assessable incomes of beneficiaries.

This formula is not applied to a beneficiary who is an investor deriving category A income from a group investment fund. For imputation purposes the fund and the investor are treated as a company and as a shareholder, respectively.

Calculation of credits of a partner

Where partnership income includes dividend income with credits attached, the following formula is applied to calculate the amount of imputation credits included in assessable income (s [LE 6\(3\)](#)):

$$(\text{partner's income} \div \text{partnership income}) \times (\text{partnership imputation credits} \div \text{person's supplementary dividend})$$

where:

partner's income is the partner's assessable income from the partnership for the tax year excluding all imputation credits attached to dividends which the partner derived during the tax year, and excluding a supplementary dividend derived by the person as a non-resident partner of the partnership

partnership income is the assessable income jointly derived by the partners of the partnership for the tax year excluding all imputation credits attached to dividends which the partners derived during the tax year

partnership imputation credits is the total amount of all imputation credits attached to dividends and total supplementary dividends derived by all of the partners during the tax year, and

partner's supplementary dividend is the total supplementary dividends for the tax year derived by the person as a non-resident partner of the partnership.

The effect of this formula is to pro-rate credits among partners according to each partner's proportionate share of total income ([¶123-182–¶123-186](#)).

Dividends from certain FIF interests

An issue previously arose when a New Zealand-resident shareholder received a dividend with imputation credits attached that was paid from a closely held Australian company. The New Zealand resident's investment in that company would generally be an attributing interest under the FIF rules. However, under the FIF rules, a New Zealand resident is taxed only on the deemed FIF income; the actual dividend is disregarded.

Section [LE 8B](#) limits the amount of the tax credit to the shareholder receiving an imputed dividend from an Australian company to the amount of imputation credits they would have if the imputation credits were calculated on the basis of the resident's FIF income from that company.

In addition, s [CV 19](#) ensures that the shareholder's tax liability is calculated correctly in relation to the FIF income and imputation credits by providing that a person's income includes the amount of imputation credits

under s [LE 8B](#). In the absence of s [CV 19](#), a shareholder subject to s [LE 8B](#) would be under-taxed on their FIF income. Note that the section does not apply where the comparative value or deemed rate of return FIF calculation methods are used, as the amount of the imputation credits are already included under these methods.

Imputation credit more than maximum permitted ratio

Where an imputation credit attached to a dividend has an imputation ratio greater than the maximum permitted ratio based on the resident company income tax rate, the imputation credit is reduced to the maximum permitted amount.

Unpaid income tax

Where an imputation credit is attached to a dividend and:

- # the dividend is paid by a company that has a debit balance in its ICA at the end of the tax year, and
- # the company had not paid further income tax by 31 March (for ICA closing debit balance)

then the imputation credit is reduced by the Commissioner in proportion to the amount of income tax paid (s [LE 10](#)).

The Commissioner reduces proportionately the amount of the imputation tax credit attached to the dividend to reflect the amount of imputation credits that have been paid by the company.

Evidential requirements

In the case of an imputation credit not fully recognised because of a failure to provide evidence of the credit, the credit may be reduced to an amount that is recognised by the Commissioner (s [LE 11](#)). If a person who has a tax credit in s [LE 1](#) does not meet the evidential requirements of s [78D](#) of the TAA, the person's credit may be reduced accordingly.

Only taxpayers who have not provided their tax file number to their investment income payer will have to provide the Commissioner with evidence of their tax credit.

Credits are the subject of an arrangement to obtain a tax advantage

Where an imputation credit arises under an arrangement to obtain a tax advantage, it will be subject to the anti-avoidance provisions in ss [GB 35–GB 36](#) ([¶17-120](#)). The credit will be reduced by the amount the Commissioner determines is subject to the arrangement.

Stapled stock

The amount of any imputation credit attached to a dividend arising from a “stapled stock” arrangement, which is subject to the anti-avoidance provision in s [GB 37](#), is reduced to nil ([¶17-115](#)).

Law: IT07 ss [CV 19](#), [HC 38](#), [LE 4–LE 11](#)

Last reviewed on 31 December 2025

Anti-avoidance stapled stock [¶17-115]

[¶17-115]

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“Stapled stock” arrangements are dealt with under s [GB 37](#). Under such arrangements, the New Zealand shareholders of, say, a non-resident company could be offered dividends from a New Zealand subsidiary of that company as an alternative to dividends from the parent company. Of course, imputation credits would be attached to such dividends.

Briefly, s [GB 37](#) provides that if an arrangement is entered into whereby:

- # a shareholder of the company or an associated person of the shareholder may be paid a dividend by another company, or
- # a shareholder of the company or an associated person of the shareholder may acquire shares in another company so that the other company may pay a dividend to the shareholder,

for the purposes of the imputation provisions, a dividend is treated as being paid by the company that entered into the arrangement. Also, the imputation credits attached to the dividend are treated as being a debit to that company's ICA under s [OB 30](#).

There are also implications for the person receiving the dividend under the arrangement as follows:

- # the imputation credits attached to the dividend do not constitute income of the recipient, and
- # the imputation credits are not treated as an imputation credit for the purposes of s [LE 1](#) (tax credits for imputation credits).

In other words, an imputation credit attached is neither eligible as a credit of tax against the recipient's income tax liability nor eligible for conversion and carry-forward as a tax loss or tax credit.

Section [GB 37](#) also extends to companies where the shareholder is a trustee of a trust, and a beneficiary of the trust or an associated person of the beneficiary may be paid the dividend or acquire the shares in the other company, as the case may be.

The provision will still apply if any of the purposes of the arrangement falls within the above. The purpose of the arrangement to have another company pay a dividend to the shareholder, beneficiary, or associated person of the shareholder or beneficiary does not need to be the dominant purpose.

Example:

Company A is a New Zealand resident company. Company A has incurred tax losses since its incorporation. The shareholders in Company A are all New Zealand residents. Company B is also a New Zealand resident company. Company B is a tax-paying company with imputation credits available to be attached to any dividends paid. The shareholders in Company B include New Zealand residents and non-residents. Company A and Company B enter into an arrangement for Company B to pay a dividend to Company A's shareholders, using the imputation credits which are unable to be used by Company B's non-resident shareholders.

This arrangement would fall within s [GB 37](#). The dividend paid by Company B will be treated as being paid by Company A. Company A will be treated as having a debit arising to its ICA for the imputation credits attached to the dividend paid. Company A will therefore have a debit balance in its ICA and unless this balance is cleared by the end of the tax year, Company A will be liable for imputation penalty tax. Also, the shareholders in Company A who receive the dividend under the arrangement will not be entitled to claim the imputation credits attached as credits against their income. These credits are also excluded from the shareholders' return (ie they are not income to the shareholders).

Shares for the purposes of these provisions can include a debenture complying with s [FA 2](#).

Law: IT07 s [GB 37](#), [LE 1\(5\)](#), [OB 30\(4\)](#)

Last reviewed on 31 December 2025

Taxing distributions from share-lending transactions [¶17-116]

[¶17-116]

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Share-lending transactions occur when one party lends shares to another for a fee. Generally, such arrangements will constitute the sale and buy-back of the share with regular tax impost. However, specific share-lending rules allow “qualifying” share-lending transactions to be taxed on the basis of economic substance (ie treated as a loan) rather than legal form (sale of shares). Anti-avoidance provisions are applicable to non-qualifying share-lending transactions.

A qualifying share-lending arrangement involves a “returning share transfer” which is an arrangement where the following apply (s [YA 1](#)):

- # where an original share is transferred from a share supplier to a share user
- # where it is agreed conditionally or unconditionally that the share user (or associate) pays a replacement payment to the share supplier (or associate) if a dividend is payable on the original share
- # where it is agreed conditionally or unconditionally that the original share or an identical share may be transferred from the share user to the share supplier (or associate), and
- # where it is not a warrant or an instalment receipt.

Where the arrangement satisfies the criteria for a returning share transfer, the arrangement will fall within the definition of a share-lending arrangement and there will be no tax on disposal.

A “share-lending arrangement” is a returning share transfer entered into on or after 1 July 2006 where (s [YA 1](#)):

- # the term of the returning share transfer is one year or less
- # the terms are ordinary commercial terms such as would be agreed between arm’s length parties
- # any RWT under s [RE 17](#) for a replacement payment is paid
- # the original shares (or identical shares) are returned to the share supplier during the agreed term (or such extended term as approved by the Commissioner), and
- # the share user issues a credit transfer notice in respect to any dividends paid on the original share or establishes and maintains an ICA if a dividend is payable on the original share.

The ICA rules recognise that under a share-lending arrangement the imputation credits remain with the economic owner of the shares (the share supplier). This is achieved by transferring the imputation credits to the share supplier and denying the share user a tax credit under s [LE 1\(2\)](#).

A share user can either maintain an ICA in order to attach imputation credits to replacement payments or if the share user has received the underlying dividend they can issue a credit transfer notice. The form of a credit transfer notice is specified in s [30C](#) of the TAA. Any imputation credit transferred under a credit transfer notice is excluded from the taxable income of the share user and instead becomes income of the share supplier (s [CD 17](#) and [¶16-630](#)).

Where no direct transfer of imputation credits is possible because, say, the original shares have been sold, the share user is obliged to pay RWT at the rate of 33%, refer to s [RE 17](#) and [Sch 1 pt D cl 5](#). This share-lending RWT gives rise to imputation credits attached to the replacement payment ([¶15-067](#)).

Imputation credits received by a share supplier on a replacement payment are subject to the same treatment as normal imputation credits, regardless of whether they are allocated under s [OB 64](#), arise from the share user paying RWT or from a credit transfer notice being issued. In the first 2 cases the credit arises on the date the replacement payment is paid and in the latter case, on the date the notice is issued ([¶17-040](#)).

Debits to a share user’s ICA will arise when imputation credits are attached by the share user to a replacement payment, a credit transfer notice is issued or where the share user receives imputation credits in respect of a returning share transfer that is not a share-lending arrangement ([¶17-045](#)).

Returning share transfer not a share-lending arrangement

Where a returning share transfer does not qualify as a share-lending arrangement, the rules still operate to ensure that any imputation credits received by the share user in respect of the shares remain with the economic owner of the shares (the share supplier). This is achieved by requiring the share user to enter a debit in their ICA for the amount of any imputation credits received in respect of dividends paid to the share user (or an associate). In addition, the share user is not entitled to a credit of tax for the imputation credits and the transfer of the shares itself is treated as a disposal for tax purposes.

An anti-avoidance provision ensures that taxpayers do not attempt to structure transactions that fall outside the returning share transfer definition (s [GB 49](#)).

For further discussion and examples of the operation of the share-lending rules, see *Tax Information Bulletin* [¶185-120 Vol 18, No 5](#), June 2006 at 86.

Law: IT07 ss [GB 49](#), [LE 1\(2\)](#), [LE 7](#), [OB 22](#), [OB 49](#), [OB 50](#), [OB 64](#), [YA 1](#) (“[returning share transfer](#)”, “[share-lending arrangement](#)”); TAA s [30C](#)

Last reviewed on 31 December 2025

Arrangements to obtain tax advantage [¶17-120]

[¶17-120]

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Anti-avoidance provisions are contained in ss [GB 35](#) and [GB 36](#) of the IT07 and s [90AF](#) of the TAA. These provisions apply to arrangements to obtain a tax advantage in relation to imputation credits.

For the purposes of this section a “tax advantage” is, among other things, the obtaining of a credit of tax by shareholders, or a credit to an ICA or MACA.

An arrangement to obtain a tax advantage may take one of 2 forms:

- # the issue or sale of shares under s [GB 35\(2\)](#), or
- # the allocation of credits either by way of streaming or attaching credits so as to give some persons higher credit values under s [GB 35\(3\)](#).

Issue or sale of shares

A tax advantage will arise where there is an arrangement for the issue or sale or other disposition of shares and all of the following apply:

- # There is an arrangement for the disposal or issue of shares.
- # Any person who is a party to the arrangement might reasonably have anticipated that a dividend would be paid in respect of the shares in any income year and that attached to the dividend would be an imputation credit.
- # Any person who is a party to the arrangement might reasonably expect that a party to the arrangement will or will not be able to obtain a tax advantage in relation to those credits.
- # The purpose of the arrangement is that a party to the arrangement would obtain any such advantage.
- # The purpose is not a merely incidental one.

An arrangement to obtain a tax advantage will clearly exist where shares are sold with a view to obtaining access to imputation credits retained by the company whose shares are sold. It must be a purpose, and not merely an incidental purpose, of such an arrangement that there will be a tax advantage. In this way, s [GB 35](#) is modelled on the general anti-avoidance provisions of ss [BG 1](#) and [GA 1](#).

Allocation of credits

The second type of arrangement will arise where a company streams the payment of dividends, or streams the attachment of credits to dividends, in such a way that higher credit values will be obtained by some persons.

Section [GB 35](#) reinforces the significance of the allocation and benchmark dividend rules. These rules require that any dividends paid during the tax years are equally imputed. Section [GB 34](#) also addresses the situation where dividends are streamed to different shareholders over more than one tax year, eg by using different benchmark ratios in different tax years.

In determining whether some persons have obtained a higher credit value, a dividend paid by the company will be deemed to have a higher credit value than another dividend where one of the following applies:

- # The dividend has an imputation credit attached to it while the other dividend does not.
- # The imputation ratio of the dividend is higher than that of the other dividend.

Application of s GB 36

This section applies to any arrangement for the issue of share or the sale or other disposition of shares (as described in s [GB 35\(2\)](#)) or to an arrangement involving the streaming of dividends (as described in s [GB 35\(3\)](#)).

The consequences of such arrangements are as follows:

- # shareholders are denied a credit of tax for the amount of imputation credit that the Commissioner determines is subject to the arrangement, and
- # there is a debit of that amount to the ICA of any company that would otherwise obtain a credit to an ICA.

Streaming dividends

In relation to a tax advantage arrangement involving the streaming of the payment of dividends with credits attached, a further debit can arise to the ICA of the company paying the dividends. This is where that company is the only party to the arrangement.

The Commissioner issues a determination showing the resulting debit to a company's ICA in the light of the impugned arrangement. The debit is equal to the amount of imputation credit that the Commissioner determines to be the subject of the arrangement. The determination can be the subject of a challenge in the normal manner.

Shares for the purposes of these provisions can include a debenture complying with s [FA 2](#).

Imputation credit shopping

There are rules to prevent imputation credit shopping. Briefly, this means that imputation credits earned by one group of companies cannot be paid to the shareholders of a different group of companies.

The rules relating to imputation credit shopping apply to a company that leaves or joins a wholly-owned group of companies with total available net losses exceeding \$1 million. Broadly, the rules require that a payment of imputation additional tax be made by a company when it leaves or joins a wholly-owned group of companies. The rules have also been extended to cover transactions involving group companies that have transferred imputation credits ([¶17-107](#)).

Section [OB 72](#) provides that when a company that was part of a group joins a new wholly-owned group, the company is only liable for imputation additional tax if a group of people hold common voting interests in the new group that exceed 67% or more of the common voting interests in the former group. Previously, imputation additional tax was payable where there was any change in the ultimate shareholders of a wholly-owned group. Section [OB 72B](#) provides a mechanism for tracking shareholder changes (*Tax Information Bulletin* [¶2210-109 Vol 22, No 10](#), November 2010 at 84).

The amount of the additional tax payment is calculated on the amount of a leaving company's debit ICA balance. If there is no change in the ultimate owners of the wholly-owned group, the leaving company may elect to have its debit ICA balance debited to the ICA of another company in the group.

Imputation additional tax must be paid by the 20th of the month after the month the company ceases to be a member of the former group.

A company that is liable to pay imputation additional tax under s [OB 72](#) is also liable to pay a special tax known as imputation penalty tax. This tax is imposed at the rate of 10% on the amount of imputation additional tax payable. The due date for payment of imputation penalty tax is 20 June following the end of the tax year to which the penalty relates.

A late payment penalty may apply for a late payment of imputation additional tax or imputation penalty tax. Only the initial late payment penalty, and not the 1% monthly incremental late payment penalty, is payable on the imputation additional tax. However, the 1% monthly incremental late payment penalty still applies to imputation penalty tax (as it does not satisfy the definition of a "civil penalty" for the purposes of s [139B\(2B\)\(e\)](#)).

See ss [OB 71](#), [OB 72](#) and [OB 72B](#) for further details. Also see *Tax Information Bulletin* ¶[218-154 Vol 21, No 8](#), October/November 2009, Pt II at 160 and *Tax Information Bulletin* ¶[2210-109 Vol 22, No 10](#) November 2010 at 84.

Law: IT07 ss [GB 35](#), [GB 36](#), [LE 1\(5\)](#), [OB 13](#), [OB 25](#), [OB 44](#), [OB 54](#), [OB 71](#), [OB 72](#), [OB 72B](#), [YA 1](#) (“[tax advantage](#)”); TAA ss [90AF](#), [139B](#), [140B](#), [142E](#)

Last reviewed on 31 December 2025

Introduction to trans-Tasman imputation [¶17-200]

[¶17-200]

[Click to open document in a browser](#)

Triangular taxation occurs when New Zealand shareholders in an Australian company operating in New Zealand are unable to access New Zealand-sourced imputation credits. The same problem applies in reverse for Australian shareholders in New Zealand companies operating in Australia.

Under the trans-Tasman imputation regime where an Australian company chooses to register under the New Zealand system, it is permitted to maintain a New Zealand ICA to record tax paid in New Zealand. This is in addition to its Australian franking account in which it will record tax paid in Australia ([¶17-210](#)). The same will apply for any New Zealand companies that choose to enter the Australian imputation system (*Tax Information Bulletin* [¶1511-110 Vol 15, No 11](#), November 2003 at 30).

Australian companies are permitted to maintain a New Zealand ICA and may attach New Zealand imputation credits to dividends paid.

The regime also includes a form of grouping for imputation purposes, which Australian companies may also participate in. For example, a company resident in New Zealand may form a group with one or more Australian companies for the purposes of the Australian dividend franking system. Imputation grouping allows any member of an imputation group to attach imputation credits to dividends paid, provided income tax has been paid by another group member in the same jurisdiction ([¶17-240](#) and [¶17-245](#)).

IR has information on the rules and links via its website at ird.govt.nz.

Last reviewed on 31 December 2025

Australian ICA company [¶17-210]

[¶17-210]

[Click to open document in a browser](#)

The trans-Tasman imputation system allows an Australian-resident company to elect to maintain an ICA, ie to be an “Australian ICA company”. The election process is summarised below.

A company that is not required under the general requirement ([¶17-030](#)) to establish an ICA may be eligible to maintain an ICA if the company is:

- # resident in Australia
- # not a company excluded from maintaining an ICA by reason of s [OB 1\(2\)\(a\)–\(f\)](#), and
- # not treated by a DTA as being resident in a country that is not Australia, or
- # treated as a New Zealand resident company under the New Zealand–Australia DTA.

“Resident in Australia” is a defined term in s [YA 1](#) of the IT07. Generally, this means a company which is not resident in New Zealand but which would be resident in New Zealand under s [YD 2](#) if “Australia” was treated as being “New Zealand” under the section. In other words, exchange “New Zealand” for “Australia” for the purpose of s [YD 2](#). This test of residency is based on the Australian rules for determining the Australian residence of a company. The Australian ICA company is not required to be resident in New Zealand, as was the requirement before 1 April 2008.

If a New Zealand resident company is deemed to be an Australian resident by operation of the DTA, the company must still maintain an ICA.

The election is made by giving notice to the Commissioner in a form acceptable to the Commissioner (form [IR488](#)), which is submitted via MyIR.

Commissioner may decline election

The Commissioner may decline to accept a notice of election if:

- # a previous election by the company has been revoked by the Commissioner, and
- # the company does not satisfy the Commissioner that the company has taken adequate steps to prevent the occurrence of situations of the type that gave rise to the revocation.

Effective date of election — s OB 2(3)

If accepted, the election to maintain an ICA is effective:

- # for the purpose of attaching imputation credits to dividends paid on one of the following dates:
 - # the first day of the tax year in which the notice of election is received by the Commissioner if the company is formed or becomes eligible in the tax year and the Commissioner notifies the company of that date, or
 - # if the above does not apply, 30 days after the date the notice of election is received by the Commissioner
- # for the purpose of the other provisions in the imputation rules (eg debits and credits to the ICA), from the first day of the tax year in which the Commissioner is notified.

Implications of election

A company that makes an effective election to maintain an ICA must do so:

- # for the purpose of attaching imputation credits to dividends paid, until the date on which the company ceases to be eligible to maintain the ICA or on which the election is revoked

for all other purposes, for the tax year and for each subsequent tax year at the beginning of which the company is eligible to maintain the ICA and the election has not been revoked.

In other words, the Australian ICA company will be subject to the general imputation rules. However, there are also a number of additional requirements ([¶17-215–¶17-235](#)).

A company that is in a wholly-owned group of companies with an Australian ICA company may be jointly and severally liable with the Australian ICA company for further income tax, civil penalties and interest under Pt 7 of the TAA that arise from a breach of the imputation rules by the Australian ICA company. This joint and several liability is subject to any prohibition by an independent regulatory body from having such liability (s [OB 2\(4\)](#)).

Election may be revoked — s OB 2(7), (8)

A company may revoke its election to maintain an ICA.

The effective date of any notice of revocation by the company is:

- # for the purpose of attaching imputation credits to dividends paid, from the date on which the Commissioner receives the notice
- # for all other purposes, from the last day of the tax year in which the Commissioner receives the notice.

The Commissioner may revoke a company's election to maintain an ICA by giving notice to the company. The Commissioner's notice is effective from:

- # for the purpose of attaching imputation credits to dividends paid, the date given in the notice
- # for all other purposes, the last day of the tax year in which the date of the notice falls.

Imputed dividends cannot be paid from the date the Commissioner receives the notice of revocation by the company, nor from the date the Commissioner states in his notice.

The revocation of an election does not affect the obligations of a company that arise while the company is an ICA company (s [OB 2\(9\)](#)).

Law: IT07 ss [OB 2](#), [YA 1](#) ("[Australian ICA company](#)", "[resident in Australia](#)")

Last reviewed on 31 December 2025

Credits and debits to the Australian ICA [¶17-215]

[¶17-215]

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An Australian ICA company must record debits and credits which are additional to those of a New Zealand ICA company.

Credits

The following credits arise in the ICA of an Australian ICA company:

- # NRWT withheld from non-resident passive income ([¶26-440–¶26-450](#))
- # non-resident contractors withholding tax ([¶26-480](#))
- # income tax payments for schedular income derived under s [CR 3](#) (income of non-resident general insurer) or [CV 16](#) (income of non-resident shippers).

These credits arise on the date the type of tax in question was withheld or paid.

Only one credit entry is allowed for each of the above types of tax payment made (s [OB 4\(5\)](#)). If a payment is recorded as a credit in the ICA in accordance with ss [OB 4–OB 26](#) ([¶17-040](#)), another credit will not be allowed under ss [OB 27–OB 29](#).

Debits

An Australian ICA company must record as a debit in its ICA, any refund of:

- # overpaid NRWT which has been credited to the ICA
- # tax overpaid on schedular payments to non-resident contractors which has previously been credited to the ICA
- # income tax overpaid for schedular income derived under ss [CR 3](#) and [CV 16](#) (non-resident insurers and shippers), which has previously been credited to the ICA.

These debits arise on the date on which the refund is paid.

Law: IT07 ss [OB 27–OB 29](#), [OB 57–OB 59](#)

Last reviewed on 31 December 2025

Australian ICA company — converting further income tax to loss [¶17-220]

[¶17-220]

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In certain circumstances, an Australian ICA company may elect to convert a payment of further income tax into a tax loss. The tax loss may be used by a company in the same wholly-owned group as the Australian ICA company.

The conversion of further income tax paid can be made when, at the time of payment of the further income tax, there is no possibility that the company will have a New Zealand income tax liability against which the payment may be credited. The amount of the tax loss available is calculated by dividing the amount of further income tax paid (to the extent it is not required to meet a liability of the company) by the company tax rate.

Example:

Ozzie Ltd is an Australian ICA company and also part of a wholly-owned group of companies with Kiwi Ltd. Ozzie Ltd has a debit balance of \$700 in its ICA at 31 March 20X3. Ozzie Ltd pays further income tax of \$700 on 20 June 20X3. At that time, there is no possibility Ozzie Ltd will have a future income tax liability against which the payment of further income tax may be credited. Ozzie Ltd elects to convert the further income tax payment into a loss. The amount of tax loss available for offset by Kiwi Ltd in the 20X3–X4 income year is \$2,500 (\$700/0.28).

The reason for allowing the loss conversion is to stop the refund of the further income tax payment to another group company (assuming the group company has sufficient imputation credits in its ICA). This could happen if the further income tax payment was simply transferred to the other group company.

Law: IT07 s [OB 69](#)

Last reviewed on 31 December 2025

Compliance requirements for an Australian ICA company [¶17-225]

[¶17-225]

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The following is a summary of the additional compliance requirements that are placed on an Australian ICA company.

Imputation return — s 69(2)

An Australian ICA company which does not have to file a return of income for the tax year must file the annual imputation return by 31 July following the end of the tax year.

If the Australian ICA company is required to file a tax return for the tax year, the imputation return must be filed by the time the tax return is required to be filed. This is the same rule that applies for a New Zealand ICA company ([¶17-080](#)).

Late filing penalty — ss 139A(4) and 142(1)(d)

A late filing penalty of \$250 is payable by an Australian ICA company which does not file its imputation return on time. The due date for payment of this penalty is the date specified by the Commissioner or the date by which the Australian ICA company is required to furnish the imputation return, whichever is the later. Note that the date specified by the Commissioner cannot be less than 30 days after the day on which the Commissioner has notified the company that the penalty is payable.

Law: TAA ss [69\(2\)](#), [139A](#), [142\(1\)\(d\)](#)

Last reviewed on 31 December 2025

Imputation — dividends paid in Australian currency [¶17-235]

[¶17-235]

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For the purposes of the imputation rules, a formula is provided to calculate the New Zealand dollar equivalent of the amount of a dividend that is paid in Australian currency. The formula is:

$$a \times b$$

where:

a is the amount of the dividend expressed in Australian dollars, and

b is the close of trading spot exchange rate for the Australian dollar for the date on which the dividend is declared (if that date is no more than 3 months before the date the dividend is paid), or the date on which the dividend is paid (if the date of payment is more than 3 months after the date the dividend is declared).

Shareholder dividend statement — s 29(1B)

When paying a dividend, an Australian ICA company must use the term “New Zealand imputation credit” on the shareholder dividend statement ([¶17-090](#)).

Company dividend statement

The requirement for a company dividend statement to be provided was repealed with effect from 1 April 2020 ([¶17-085](#)).

Law: IT07 s [OB 60\(6\)](#), [\(7\)](#); TAA s [29\(1B\)](#)

Last reviewed on 31 December 2025

Imputation group of companies [¶17-240]

[¶17-240]

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An imputation group of companies is designed to mitigate the problem that imputation credits cannot be passed through intermediate companies that are resident in neither Australia nor New Zealand.

Imputation grouping enables any Australian or New Zealand company within a wholly-owned group to pay an imputed dividend, if tax has been paid or imputation credits have been received from companies outside the group by any Australian or New Zealand company within the group. In this case, there will be no need to pay a dividend up the chain of companies for the parent company to access imputation credits created further down the chain of companies. The imputation grouping rules are broadly based on the imputation rules for a consolidated group ([¶20-070](#)).

Eligibility rules — s FN 4

Companies may form an imputation group. An imputation group must satisfy the following criteria:

- # each member of the group is a company that is resident in New Zealand or Australia and:
- # is not treated by a DTA as being resident in a country that is not Australia or New Zealand, and
- # is required to maintain an ICA under s [OB 1](#) or, in the case of an Australian-resident company, because of an election to maintain an ICA under s [OB 2](#)
- # the members of the group are a wholly-owned group of companies
- # no member of the group is a qualifying company or all members of the group are qualifying companies
- # no member of the group is a mineral miner that is a company or all members of the group are, and
- # no member of the group has shares:
- # that have been subject to an arrangement or series of related or connected arrangements, or
- # had rights attaching to them that have been extinguished or altered (directly, or indirectly, by any means whatever)

so as to defeat the intent and application of the imputation rules. This includes an arrangement for the purpose of enabling a company to be a member of the same imputation group as another member of the group (s [FN 4\(5\)](#)).

Under s [FN 4\(2\)](#), a company that is a member of a consolidated group may also be a member of an imputation group if at the time:

- # the imputation group satisfies or will satisfy all of the above criteria
- # all the members of the consolidated group are or would be members of the imputation group, and
- # for an imputation group that contains or will contain members of more than one consolidated group, all of the consolidated groups have been part of a single wholly-owned group of companies throughout the period that:
- # began on the earliest date on which there arose a credit that, at the time, remains uncanceled in the ICA of a consolidated group or imputation group, all of whose members are in the imputation group, and
- # ended at the time.

The effect of the last criterion listed above is that the credits in a consolidated group ICA must have the same shareholder continuity profile.

Formation, entry and combination

Generally, a notice of election must be given to the Commissioner to form an imputation group (form [IR473](#) submitted via MyIR). All companies forming the imputation group must be 100% commonly owned.

Any 2 or more companies that are not members of a consolidated group and are eligible to be members of an imputation group may give to the Commissioner a notice of election to form the imputation group.

A company that is not a member of a consolidated group and is eligible to be a member of an existing imputation group may give to the Commissioner a notice of election to join the imputation group on form [IR475](#).

An imputation group may not be formed with one member company. However, the group may continue to exist if the number of its members is reduced to one.

A notice of election to form an imputation group must nominate one of the companies as agent of the imputation group for the purposes of the imputation rules. See further below under the heading “nominated company”.

All Australian companies electing to be part of an imputation group must also complete a trans-Tasman imputation election form ([IR488](#)).

A notice of election to form or join an imputation group has effect from the beginning of the tax year that contains the date on which the Commissioner receives the notice. If there are more than 3 companies forming the group, multiple [IR473](#) election notices will need to be completed and forwarded to the Commissioner.

Membership

An imputation group does not need to have Australian members. The group may consist only of New Zealand resident companies.

Imputation groups with one or more Australian companies must also form a resident imputation subgroup. This subgroup is associated with a trans-Tasman imputation group ([¶17-245](#)). The members of this subgroup are the New Zealand resident members of the trans-Tasman group. A resident imputation subgroup can be formed and continue to exist with only one member, however, if at any time the subgroup has no members, it will cease to exist.

Liability of members

A company that is a member of an imputation group is jointly and severally liable for:

- # further income tax
- # civil penalties, and
- # interest under Pt 7 of the TAA

arising from the operation of the ICA of the imputation group (s [FN 9\(3\)](#)).

Nominated company

An imputation group must have a nominated company. The nominated company must be a member of the imputation group.

The nominated company for a trans-Tasman imputation group must be one of the New Zealand member-companies. This company is also the nominated company for the associated resident imputation subgroup ([¶17-245](#)).

For the purposes of the imputation rules (s [FN 6\(3\)](#)), the nominated company at any time is the agent of the imputation group and of each company that is a member of the imputation group at that time.

At any time, a nominated company may give notice to the Commissioner that the company is to cease to be the nominated company and that another company is to become the nominated company for that group. This notice has effect 30 days after the date on which the Commissioner receives the notice and may be given on form [IR475](#) (s [FN 6\(4\)](#)).

If, at any time during a tax year, an imputation group does not have a nominated company and a replacement nominated company has not been appointed, the companies in the group cease to be members of the group from the beginning of the tax year (s [FN 13](#)).

If the nominated company for an imputation group is liquidated and the other companies of the group select another company as a replacement, the replacement company is the nominated company for the group from the date of the liquidation. For this provision to apply, notice must be given to the Commissioner of the selection within 30 days after the date of the liquidation, or within such further period as the Commissioner may allow (s [FN 6\(6\)](#)).

Leaving an imputation group

Under s [FN 10](#) a company that is a member of an imputation group ceases to be a member of that group if the company:

- # gives to the Commissioner a written election that it will cease to be a member
- # ceases to be eligible to be a member
- # is not the nominated company and ceases to be eligible to be a member of the same imputation group as the nominated company, or
- # is a member of an imputation group that ceases to have a nominated company (however, see sub-heading “Nominated company” above).

Notice to leave an imputation group may be given on form [IR475](#).

Effective date of cessation

If a company elects to cease to be a member, the company will cease to be a member of the imputation group from the beginning of the day specified in the notice of election. If the election does not specify a date, the company ceases to be a member of the imputation group from the beginning of the tax year in which the notice of election is received by the Commissioner or the time at which the company became a member of the group, whichever is the later (s [FN 11\(2\)](#)).

If a company (not the nominated company) ceases to be eligible to be a member of the same group as the nominated company, the company will cease to be a member of the imputation group from the beginning of the day on which the company's eligibility ceased, provided a valid election is made to this effect. A company makes a valid election if:

- # the election is made by notice and in a form acceptable to the Commissioner
- # the election is received by the Commissioner within 30 days after the date on which the company ceases to be eligible or within such further period as the Commissioner allows, and
- # the Commissioner cannot reasonably conclude that an arrangement has been entered into for the purpose of enabling the company to make a valid election so as to defeat the intent and application of the imputation rules.

If no valid election is made, cessation takes effect from the beginning of the tax year in which the company's eligibility or entitlement ceased.

If a member ceases to be a member of an imputation group by virtue only of being liquidated, the effective date of cessation will not be backdated to the beginning of the tax year in which the liquidation occurred (s [FN 14](#)).

Law: IT07 ss [FN 1–FN 14](#), [HD 11\(2\)](#)

Last reviewed on 31 December 2025

Trans-Tasman imputation group [¶17-245]

[¶17-245]

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As mentioned in [¶17-240](#), an imputation group with Australian and New Zealand members must also form a resident imputation sub-group. This requirement ensures that New Zealand tax is paid on all dividends paid offshore.

A “trans-Tasman imputation group” means an imputation group that has at least one member that is not an Australian ICA company ([¶17-210](#)) and at least one member that is an Australian ICA company. In other words, the group consists of both New Zealand and Australian resident companies.

A “resident imputation subgroup” means the New Zealand companies in the trans-Tasman imputation group. The subgroup may be formed and continue to exist with one member company.

The resident imputation subgroup operates as a subset of, and is additional to, a trans-Tasman imputation group.

Example:

How a trans-Tasman imputation group and a resident imputation subgroup will work

OZ Co 1, NZ Co 1 and NZ Co 2 are all part of a wholly owned group of companies and wish to form a trans-Tasman imputation group.



As the group contains Australian and New Zealand members, it is a trans-Tasman imputation group and the New Zealand members, NZ Co 1 and NZ Co 2, must also form a resident imputation subgroup.

Both groups start the tax year with a zero balance in their respective consolidated ICAs. NZ Co 1 then pays to OZ Co 1:

- # \$70 dividend, and
- # a \$12.35 supplementary dividend

with:

- # \$12.35 of NRWT deducted, and
- # imputation credits of \$17.65 attached.

On paying the supplementary dividend, NZ Co 1 receives a FITC of \$12.35.

Looking first at the dividend coming from the New Zealand company, the imputation credits attached and the FITC create debits to both the trans-Tasman imputation group consolidated ICA and the resident imputation subgroup's consolidated ICA.

Payment of dividend from NZ Co 1 — imputation entries

	<u>Trans-Tasman imputation group Consolidated ICA</u>	<u>Resident imputation subgroup Consolidated ICA</u>
Imputation credits attached	17.65	17.65
Foreign investor tax credit	12.35	12.35

Secondly, regarding the receipt of the dividend by OZ Co 1 with \$12.35 NRWT deducted and \$17.65 imputation credits attached. Credits are made only to the trans-Tasman imputation group consolidated ICA as the receipt of the dividend relates only to the Australian company OZ Co 1.

Receipt of dividend by OZ Co 1 — imputation entries

	<u>Trans-Tasman imputation group Consolidated ICA</u>	<u>Resident imputation subgroup Consolidated ICA</u>
	17.65	17.65
	12.35	12.35
Imputation credits received	17.65	
NRWT deducted	12.35	

No other transactions take place throughout the tax year. At the end of the year the resident imputation subgroup's consolidated ICA has a debit balance of \$30, so further income tax of \$30 is payable. When the further income tax is paid, a credit arises to both consolidated ICAs.

The trans-Tasman imputation group consolidated ICA now has a credit balance of \$30 which can be distributed to the ultimate shareholders. This is the right result as \$30 of New Zealand tax has been paid.

Payment of further income tax by the resident imputation subgroup — imputation entries

	Trans-Tasman imputation group <u>Consolidated ICA</u>		Resident imputation subgroup <u>Consolidated ICA</u>	
	17.65		17.65	
	12.35		12.35	
		17.65		
		12.35		
Further income tax paid		30.00		30.00

Source: Adapted from the Commentary to the Taxation (Annual Rates, GST, Trans-Tasman Imputation and Miscellaneous Provisions) Bill, at 41–43.

For discussion of the FITC rules, see [¶26-500](#).

Law: IT07 ss [FN 8](#), [OP 4](#)

Last reviewed on 31 December 2025

Consolidated imputation groups [¶17-250]

[¶17-250]

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The ICA provisions in the IT07 for a consolidated group of companies ([¶20-010](#)) also accommodate an imputation group ([¶17-240](#)).

A “consolidated imputation group” is defined in s [YA 1](#) as:

- # an imputation group
- # a resident imputation subgroup, and
- # a consolidated group, no member of which is a member of an imputation group.

By implication, the term also includes a trans-Tasman imputation group ([¶17-245](#)). This is because a trans-Tasman imputation group is a type of imputation group.

The main features of a consolidated imputation group are summarised below.

Imputation credit accounts

Imputation group

If an existing consolidated group that is a consolidated imputation group elects to form an imputation group with another company or companies (and the other company or companies are not members of another consolidated group), the imputation group must continue to use and maintain the ICA formerly used by the consolidated group. In other words, the existing ICA for the consolidated group becomes the ICA for the consolidated imputation group (s [OP 3\(1\)](#)).

Consolidated imputation group

If an existing consolidated group that is a consolidated imputation group elects to form or join an imputation group that includes the members of another consolidated group, the resulting imputation group must record the following in its ICA (s [OP 3\(2\)](#)):

- # all of the debits and credits that, immediately before the election takes effect, are recorded in the ICA of the consolidated group, and
- # all of the debits and credits that, when or after the election takes effect, arise from transactions involving a member of the imputation group.

Imputation subgroup

The resident imputation subgroup ([¶17-245](#)) of a trans-Tasman imputation group must record in its ICA all of the debits and credits that (s [OP 4\(1\)](#), [\(2\)](#)):

- # are recorded in the ICA of the trans-Tasman imputation group, and
- # arise in relation to a company that, at the time the debit or credit arises:
 - # will be a member of the resident imputation subgroup if the debit or credit arises before the formation of the resident imputation subgroup, and
 - # is a member of the resident imputation subgroup if the debit or credit arises at or after the formation of the resident imputation subgroup.

In other words, all entries to the imputation account from the New Zealand members of a trans-Tasman imputation group go to the resident imputation group, whether or not they could be considered to be “transactions”.

The opening balance of the ICA is an amount equal to the sum of the opening balances of each company that is part of the resident imputation subgroup (s [OP 4\(3\)](#)).

Imputation group ceases and consolidated imputation group formed

If, by election, the members of an imputation group cease to be an imputation group and form a consolidated group that is a consolidated imputation group, the consolidated group must continue to use and maintain the ICA formerly used by the imputation group.

The opening balance of the ICA of a consolidated imputation group is:

- # nil, if the consolidated imputation group is formed during the tax year and is not formed from the members of a consolidated imputation group that exists immediately before the time of the formation
- # the amount stated in accordance with ss [OA 7](#), [OP 3](#) and [OP 4](#), if the consolidated imputation group is formed during the imputation year and is formed from the members of a consolidated imputation group that exists immediately before the time of the formation, or
- # in any other case, the closing balance of the ICA for the preceding tax year.

Pre-consolidation imputation credits

Under s [OP 22](#), a consolidated imputation group can use pre-consolidation imputation credit balances in a group company's ICA before it uses group credits. This means that imputation credits generally will be used on a FIFO basis, which is in line with the wider imputation framework.

To be used by the consolidated imputation group, the pre-consolidation imputation credit balance of the group company must exist at the date of the debit to the group ICA (so shareholder continuity must be satisfied for the amount to be transferred).

The amount of the credit balance that can be transferred from group companies to the group is limited to the amount of the group's imputation debit. This is because, when an imputation credit is transferred from a group company's ICA to the consolidated imputation group's ICA, the date for the credit becomes the day of the credit transfer, rather than the day the tax was paid. Consequently, if the credit transfer was not limited to the consolidated imputation group's debit, credits could be carried forward that would (and should) otherwise have been extinguished due to changes in shareholder continuity calculated by reference to the date the credit originally arose.

Credits and debits to the consolidated imputation credit account

If a consolidated imputation group has a member that is an Australian ICA company any:

- # NRWT withheld from non-resident passive income
- # tax withheld from schedular payments made to non-resident contractors, and
- # tax on schedular income derived by non-resident shippers and non-resident insurers

paid by the Australian ICA company is credited to the ICA for the consolidated imputation group when it is withheld or paid. However, a credit arising from any of these payments cannot be recorded twice.

If a consolidated imputation group has a member that is an Australian ICA company, any refunds of these types of taxes are recorded as a debit to the ICA for the consolidated imputation group when the refund is paid (ss [OP 25–OP 27](#) and [OP 48–OP 50](#)).

Income tax refunds

Historically, a tax refund due to a company that is a member of an imputation group had to be applied for in writing by the company. The limitation that, generally, the refund cannot exceed the credit balance in the company's ICA ([¶17-105](#)) applies to the company as if:

- # the ICA of the imputation group were the ICA of the company, and

the credit in the ICA for the purpose of s [RM 13](#) were reduced by each refund to a member of the imputation group.

This provision effectively requires each company in the imputation group to monitor its own compliance (s [OP 6](#)).

Imputation return

Generally, the nominated company must file an annual imputation return when the consolidated imputation group ceases to be:

- # a consolidated imputation group
- # an imputation group and becomes a consolidated group that is a consolidated imputation group, or
- # a consolidated imputation group and becomes an imputation group.

The nominated company for a resident imputation subgroup is not required to file an annual imputation return in respect of the group for a tax year, unless the group has been liable for a payment of further income tax or imputation penalty tax (s [74\(2\)](#) of the TAA).

Member departing consolidated imputation group

Members of a consolidated imputation group, which may be individual entities or consolidated income tax groups, may leave an imputation group. Before a retrospective amendment (see below) the allocation of imputation credits accrued to the group's ICA, associated with the tax payments of the departing member, remained locked in the consolidated imputation group's ICA. Consequently, tax refunds could not be issued because the imputation credits did not reflect in the departed members' ICA.

Section [OB 23B](#) allows the allocation of imputation credits associated with the tax payments of the departing member not yet credited to a tax liability to that member.

A consolidated imputation group can elect to receive an imputation debit to its ICA equivalent to the imputation credits arising from tax payments of a departing member that have not yet been utilised. If the election is made, the departing member can elect to receive an equivalent imputation credit to its ICA. The departing member may be a company or a consolidated imputation group. The debits and credits will arise on the same day as the original credit that related to the corresponding tax payment.

Law: IT07 ss [OA 7](#), [OB 23B](#), [OP 1–OP 50](#), [YA 1](#) (“consolidated imputation group”); TAA s [74](#)

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